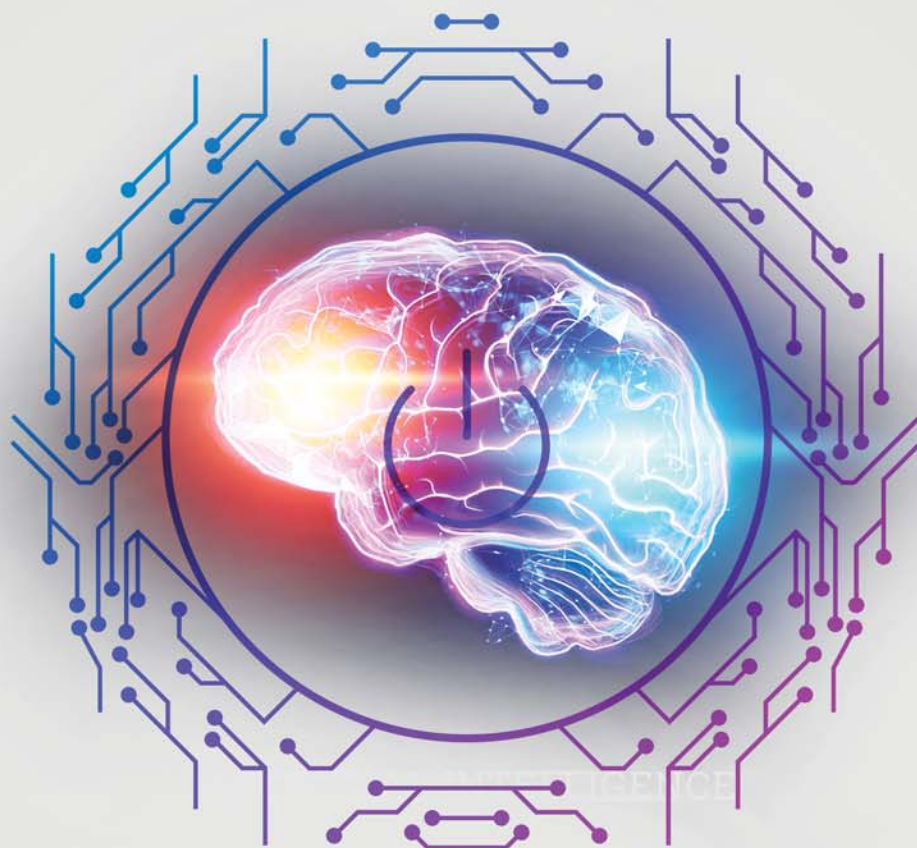
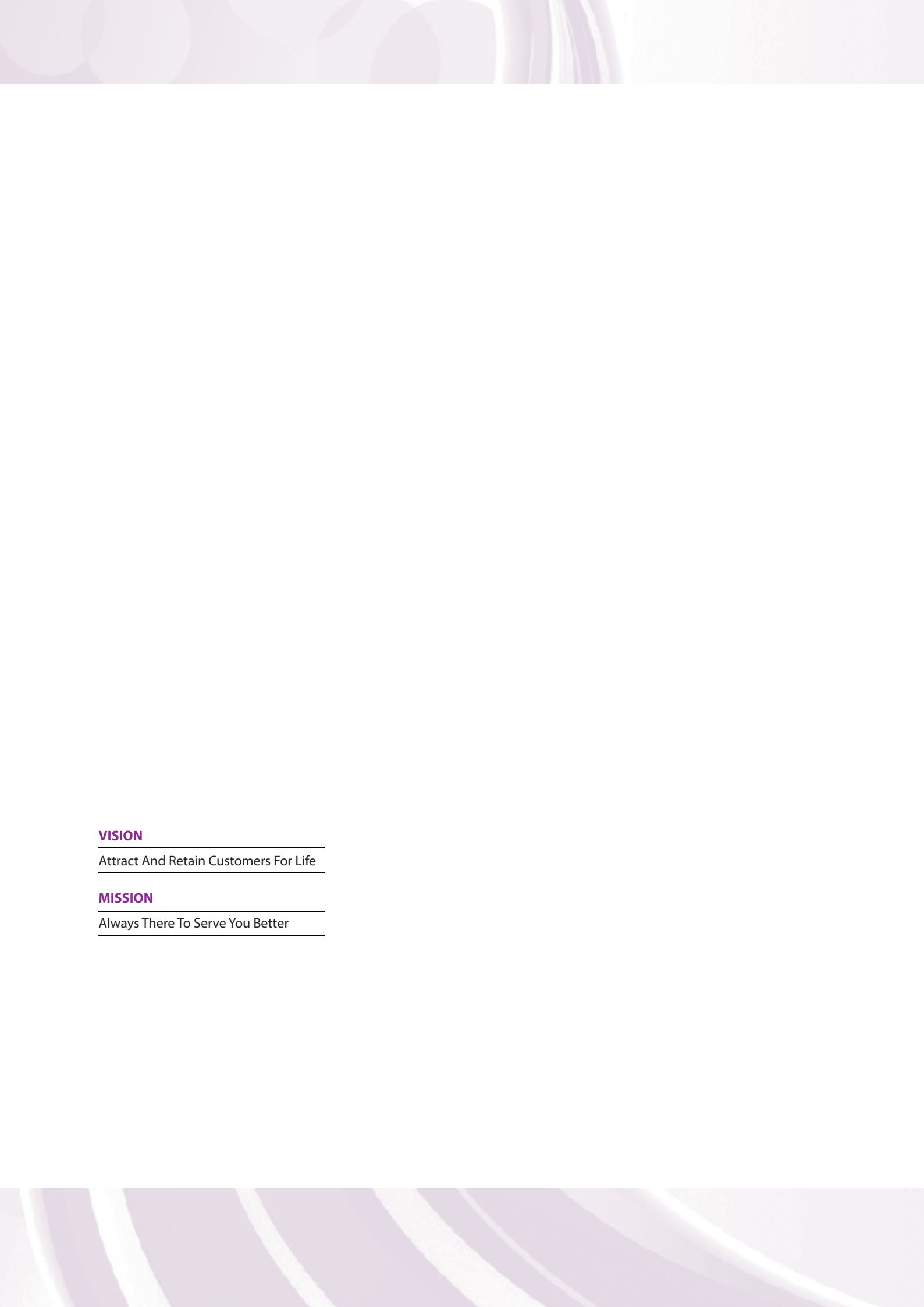




MIND OVER MATTER

Abans



VISION

Attract And Retain Customers For Life

MISSION

Always There To Serve You Better

MIND OVER MATTER

“The year 2020 will go down in human history as one of the most disruptive moments of the 21st century. Like the rest of the world, we too, were shocked and shaken by the onslaught of the Covid-19 pandemic. In this battle for control, we have proved the strength of our will. Driven by our determination and guided by a clear strategy, we can claim the victory of mind over matter, with a truly outstanding financial performance that has withstood the greatest disruptive force of the century”

CONTENT

OVERVIEW	Financial Highlights	03
	Chairperson's Statement	04 - 06
	Management Discussion and Analysis	07 - 13
GOVERNANCE	Board of Directors	14 - 15
	Corporate Governance Report	16 - 21
	Audit Committee Report	22 - 23
	Remuneration Committee Report	24
	Related Party Transactions Review Committee Report	25 - 26
	Enterprise Risk Management	27 - 31
FINANCIAL INFORMATION	Annual Report of the Board of Directors	32 - 35
	Statement of Directors' Responsibility	36
	Independent Auditors' Report	37 - 39
	Statement of Profit or Loss & Other Comprehensive Income	40
	Statement of Financial Position	41
	Statement of Changes in Equity	42
	Cash Flow Statement	43
	Notes to the Financial Statements	44 - 75
SUPPLEMENTARY INFORMATION	Shareholder and Investor Information	76 - 77
	Value Added Statement	78
	Five Year Summary	79
	Notice of the Meeting	80 - 81
	Form of Proxy	82 - 83
	Guidelines and Registration Process - Virtual Meeting	84 - 87
	Form of Attendance	88
	Corporate Information	Back Inner Cover

FINANCIAL HIGHLIGHTS

		2020/2021	2019/2020	Change %
OPERATING RESULTS				
Revenue	LKR '000	3,129,718	2,986,136	4.81%
Gross Profit	LKR '000	473,355	441,348	7.25%
Operating Profit	LKR '000	232,733	202,539	14.91%
Profit before Taxation	LKR '000	163,615	125,261	30.62%
Profit after Taxation	LKR '000	165,288	86,573	90.92%
Gross Dividend Paid	LKR '000	7,666	15,332	-50.00%
Interest Coverage	No. Times	3.37	2.62	28.47%
Gross Profit Margin	%	15.12	14.78	2.33%
Operating Profit Margin	%	7.44	6.78	9.64%
Net Profit Margin	%	5.28	2.90	82.16%
FINANCIAL POSITION				
Total Assets	LKR '000	3,793,248	3,196,587	18.67%
Total Debt	LKR '000	821,295	623,412	31.74%
Current Assets	LKR '000	2,043,286	1,476,782	38.36%
Current Liabilities	LKR '000	1,782,387	1,326,524	34.37%
Shareholders' Fund	LKR '000	1,656,789	1,431,475	15.74%
Gearing (D/D+E)	%	33.14	30.34	9.24%
Current Ratio	No. Times	1.15	1.11	2.97%
Return on Assets (ROA)	%	4.36	2.71	60.89%
Return on Capital Employed (ROCE)	%	9.46	7.97	18.63%
SHAREHOLDER INFORMATION				
Return on Equity (ROE)	%	9.98	6.05	64.96%
Earnings per Share	LKR	32.34	16.94	90.92%
Dividend per Share (Paid)	LKR	1.50	3.00	-50.00%
Market Capitalization	LKR '000	815,134	308,167	164.51%
Market Price as at 31st March	LKR	159.50	60.30	164.51%
Price Earnings Ratio	No. Times	4.93	3.56	38.54%
No. Shares	Nos.	5,110,560	5,110,560	0.00%
Net Assets per Share	LKR	324.19	280.10	15.74%

FINANCIAL CALENDAR

1st Quarter Results 2020/2021	13th August 2020
Annual Report 2020/2021	28th August 2020
38th Annual General Meeting	23rd September 2020
2nd Quarter Results 2020/2021	09th November 2020
3rd Quarter Results 2020/2021	12th February 2021
4th Quarter Results 2020/2021	28th May 2021
39th Annual General Meeting	29th September 2021



CHAIRPERSON'S STATEMENT

Dear Shareholders,

It gives me great pleasure to welcome you to the 39th Annual General Meeting of Abans Electricals PLC and to present the Annual Report and Financial Statements for the financial year ended 31st March 2021.

“Against this backdrop of two years of turmoil, Abans Electricals has continued to remain resilient, while sustaining growth”

As our shareholders are well aware, the financial year 2020/2021 was unprecedented in its challenges due to the ongoing COVID-19 pandemic that has dramatically transformed the socioeconomic landscape, elevating uncertainty and risks at every level, both locally and globally. The impact on Sri Lankan businesses was greater, as this was the second consecutive year of market disruptions in Sri Lanka following the Easter Sunday attacks of the previous financial year. The Sri Lankan economy, industries and consumers had little, or no, respite before the emergence of the COVID pandemic, which disrupted lifestyles at a scale hitherto never before experienced.

Against this backdrop of two years of turmoil, Abans Electricals has continued to remain resilient, while sustaining growth. The unwavering attention to working capital efficiencies and employment and resource rationalization has enabled the Company to withstand macro environmental challenges during the year. With the gradual return to normalcy, the Company focused on business recovery, while maintaining market position, to ensure value creation for its diverse stakeholders.

Many lives have been lost to the COVID-19 pandemic, while hundreds, if not thousands, have suffered the loss of livelihoods and incomes, and the threat continues to remain highly potent. We wish a speedy recovery for those who have suffered due to COVID-19 and express our condolences to those who lost their loved ones under these tragic circumstances.

OPERATING ENVIRONMENT

The global community has gone through an extremely turbulent year, resulting in an economic recession, with global economic growth contracting by 3.3% during the year, due to COVID containment measures such as lockdowns and restrictions on travel and gatherings. Meanwhile the Sri Lankan economy contracted by 3.6% reflecting the decline in all economic sectors.

As expected, the performance of the Company, in the first quarter, was significantly impacted due to the extremely challenging operating conditions that prevailed during stringent lockdown measures. However, with the easing of restrictions on movements, manufacturing and service operations of the Company were gradually resumed, while adhering strictly to all health and safety guidelines prescribed by the Government and national health authorities.

The impact of isolation measures on Company performance was notably less severe in the second quarter than in the first quarter and performance returned to near normal levels with regards to business operations. With the roll-out of vaccinations, business confidence gradually improved and consumer demand increased, indicating signs of economic recovery. Following the enhanced profitability during the third and fourth quarters, business recovery witnessed a resounding turnaround, almost reaching pre-COVID operational and transaction levels.

The Government adopted proactive measures to support businesses that were affected by the pandemic and to stimulate economic activity. Multiple recovery measures were introduced, including debt moratoria and working capital facilities for eligible businesses. Policy rates were revised downwards to facilitate low market interest rates for a substantial period of the year. The Government also had to temporarily restrict non-essential imports to the country, to manage pressure on the exchange rate, which had an adverse impact on the Company's business operations. However, the immediate impact was well managed through strategic measures deployed by the management.

The first wave of the COVID-19 pandemic was contained in Sri Lanka through aggressive and proactive measures imposed by the Government and the relevant authorities, including the imposition of stringent lockdowns from March, until mid-May. The second COVID wave was also well managed through partial lockdowns in some areas, that curtailed the movements of people. Further, the

CHAIRPERSON'S STATEMENT

vaccination rollout programme was scaled-up by the Government to high-risk population groups, which can be expected to accelerate economic growth and business recovery. However, whilst the COVID-19 pandemic was relatively contained in Sri Lanka throughout the financial year, resulting in a strong resumption of business activity, the third COVID wave in late April 2021 that witnessed a sharp increase in the number of infections, has once more prompted island-wide travel restrictions, which is expected to impede business activity.

OUR RESPONSE TO COVID-19 PANDEMIC

As a responsible corporate citizen, we have taken all possible steps to ensure our customers, employees and all other stakeholders are safeguarded, and we have moved forward embracing the new normal. We adhere to stringent health and safety protocols and social distancing measures, while constantly considering the health and safety of all employees. Therefore, several measures were initiated to ensure that employees are safeguarded, especially by reducing physical interactions among employees and with external parties visiting our premises. Flexible work hours, rotational shifts and work from home practices were introduced, and random PCR tests and rapid antigen tests were conducted for employees. Further, welfare packages were provided to families of employees who were required to self-quarantine, or had to receive medical treatment. We continue to monitor the health and safety of our employees and we continually adhere to all health and safety protocols, to minimise the spread of COVID-19.

“Managing elevated risks during a year of extreme volatility, Abans Electricals PLC recorded a profit after tax of LKR 165.29 Mn in 2020/2021, which is a growth of 90.92% year-on-year.”

COMMITMENT TO SHAREHOLDERS

During the year, we focused on enhancing our manufacturing capabilities and local value addition to better cater to the needs of our customers. The quality of customer service was also upgraded. Managing elevated risks during a year of extreme volatility, Abans Electricals PLC recorded a profit after tax of LKR 165.29 Mn in 2020/2021, which is a growth of 90.92 % year-on-year. The Company's revenue increased by 4.81% to LKR 3,129.72 Bn, from the previous financial year. The increase in revenue was driven by our strategy of backward integration of local manufacturing processes, coupled with the growth in the solar power segment.

LEADERSHIP AND GOVERNANCE

Despite the unprecedented challenges of the year, those who were charged with governance and management, remained committed towards robust corporate governance and strong leadership in developing and directing our strategy. In this regard, the Digital Board Meeting software facilitated remote participation at Board meetings for Board members who were unable to physically attend Board meetings due to travel restrictions and social distancing requirements.

“We are confident that the strategies implemented will drive the Company towards achieving our planned objectives and set targets, which will enhance value creation for all stakeholders in the year ahead.”

WAY FORWARD

During the year under review, we learned valuable lessons regarding flexibility, agility and adaptability when responding to an unprecedented challenge. In 2021, we expect the local and global economy to recover and our plans are focused on strengthening business sustainability. While we seek to win market share and improve margins, equal emphasis will be placed on strengthening backward integration and local value addition. We are confident that the strategies implemented will drive the Company towards achieving our planned objectives and set targets, which will enhance value creation for all stakeholders in the year ahead.

The outlook remains positive for the Company due to strong demand factors and a conducive policy environment that encourages local manufacturers. We are confident we can capitalise on these opportunities as we seek to further expand our manufacturing capabilities and look forward to increasing our portfolio of locally manufactured home appliances. While volatility and unpredictability are expected to continue amidst emerging waves of the pandemic, supply chain disruptions, margin pressure and constraints on operations, will continue to be concerns going into the financial year 2021/2022. Although the short-term will continue to be daunting, a fast recovery is expected once the stringent travel restrictions and health measures are eased. Despite these challenges, we are confident that we can adapt to increased volatility and uncertainty and effectively overcome any obstacles in pursuing our strategy.

CHAIRPERSON'S STATEMENT

APPRECIATIONS

The year under review was the most difficult year experienced by the Company in the recent past. Hence, it is important to appreciate those who played a vital role in directing the business to achieve this remarkable performance. I thank my fellow Board members for their advice and guidance throughout the year to navigate the many challenges faced by the Company. I would also like to thank Ms. Priyanthi Pieris who resigned from the Board during the year, for her valuable contributions over the years.

I thank the management and staff, who demonstrated their commitment, compassion, determination and courage in numerous ways during the year, enriching our legacy. I thank our customers, business partners, shareholders and all other stakeholders for their continued confidence and support, and for placing their trust in Abans Electricals PLC.

Sincerely,



Aban Pestonjee
Chairperson

MANAGEMENT DISCUSSION & ANALYSIS

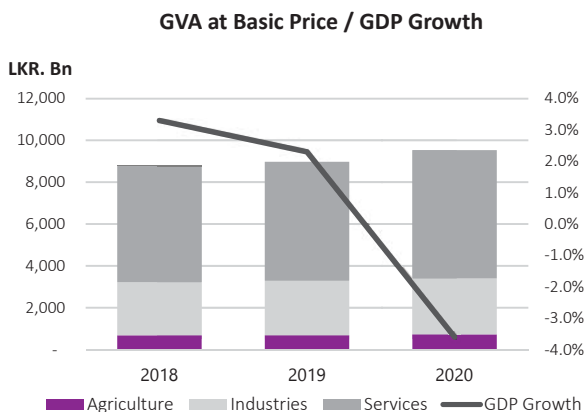
SRI LANKAN ECONOMY

Amidst the unpredicted challenges that emerged due to COVID-19, the Sri Lankan economy contracted by 3.6% in 2020, the worst growth performance on record since independence, against the 2.3% growth rate recorded in 2019.

However, the Government together with Central Bank of Sri Lanka (CBSL) adopted policy measures to address the complex challenges brought on by the spillover effects of COVID-19 and to stimulate economic activities in 2020. The Government set up a committee for COVID containment which issued directives regarding public movements and health and safety aspects. Further, in order to revamp the economy, the Government introduced debt moratoria including concessionary working capital facilities for eligible industries, extensions on loan repayments and financial support to low-income earners and individuals affected by the pandemic. In addition, reductions were effected on policy rates and statutory reserve ratios and restrictions were imposed on non-essential item imports, as monetary easing measures.

The economy began to recover gradually in the third quarter with the relaxing of containment measures. The momentum continued into the fourth quarter, as the economy was broadly kept open, despite the second wave of COVID-19 infections.

Nevertheless, the decline of all three economic sectors resulted in the contraction of the overall economy in 2020. The agriculture sector recorded a negative growth rate of 2.4% in 2020, against the 1% growth rate in 2019, as the adverse effects of the COVID-19 pandemic outweighed the positive effects of timely policy support and favourable weather conditions. The industrial sector witnessed a contraction of 6.90% against a 2.6% growth rate in 2019. The contraction in the industrial sector was primarily driven by the significant slowdown in construction and manufacturing activities. The service sector also recorded a notable decline of 1.5% compared to the 2.2% growth rate recorded in 2019, due to the decline in transportation, other personal services and accommodation, food and beverage services.



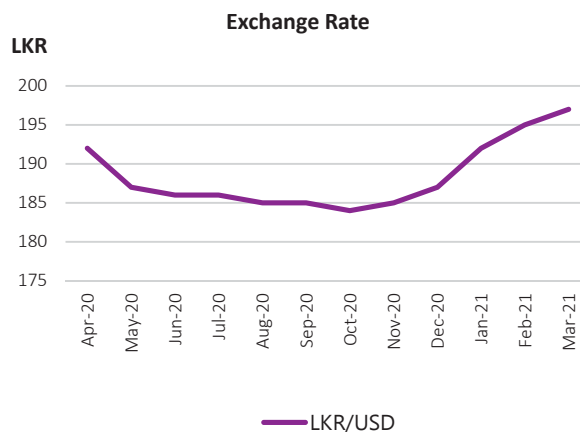
EXTERNAL ENVIRONMENT

The COVID-19 pandemic hindered different facets of the external sector. Primarily, the surge of COVID-19 infections had an adverse impact on international trade in 2020. However, export earnings rebounded within a relatively short period of time despite the headwinds. Due to measures to curtail non-essential imports and the significantly low global petroleum prices, import expenditure reduced in 2020, resulting in a notable improvement in the trade deficit. Nevertheless, the loss of tourism earnings from mobility restrictions and lockdown measures, notable outflows from the government securities market and the equities market through the Colombo Stock Exchange, and limited FDIs, adversely impacted the trade balance.

The financial account recorded a net outflow, mainly due to higher foreign outflows, maturities of international sovereign bonds and lower FDI. However, the foreign currency term financing facility from the China Development Bank in March 2020 and the SAARC FINANCE swap arrangement by the Reserve Bank of India in July 2020, eased the pressure to some extent. Further, gross official reserves stood at USD 5.7Bn with an import cover of 4.2 months as of 2020, compared to USD 7.6Bn recorded in 2019. The CBSL entered into a currency swap for the equivalent of USD 1.5Bn with the People's Bank of China in March 2021 and a loan agreement for USD 500Mn with the China Development Bank in April 2021.

EXCHANGE RATE

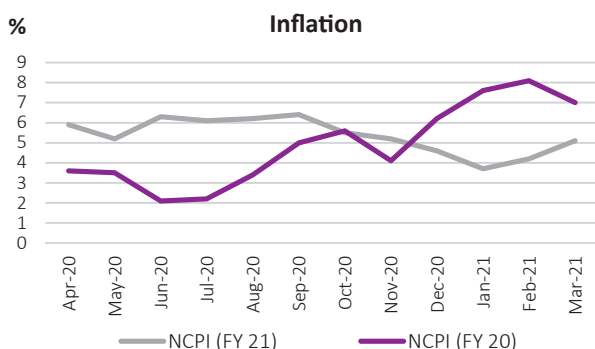
Despite the heightened pressures on the exchange rate experienced in March-April 2020 and the latter part of 2020, significant volatilities were prevented by the interventions of the CBSL on the domestic foreign exchange market through the supply of foreign currency, execution of short term swaps with licensed commercial banks and measures to restrict non-essential imports and limit foreign exchange outflows. However, the exchange rate further depreciated against the US dollar by 7% from December 2020 to March 2021, following the prolonged shortage of foreign currency in the market, apart from the 3% depreciation in 2020.



MANAGEMENT DISCUSSION & ANALYSIS

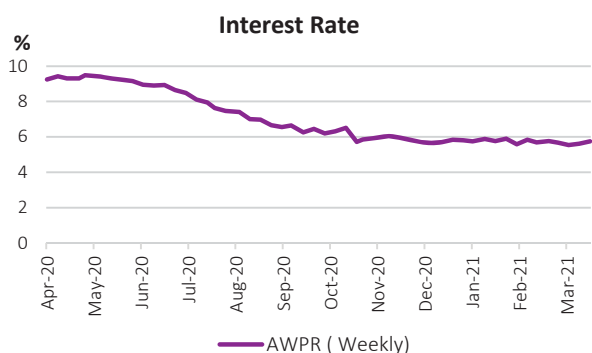
INFLATION

Although there were some fluctuations in general price levels in 2020, inflation remained within mid-single digit levels, due to the slowdown in the demand for non-essential goods and services during the deployment of COVID-19 containment measures. Nevertheless, inflationary pressures were exhibited in the food category. Accordingly, year-on-year core inflation based on the CCPI and the NCPI decelerated to 3.5% and 4.7%, respectively, by the end of 2020, compared to 4.8% and 5.2%, recorded at the end of 2019, respectively.



INTEREST RATES

To support the revival of economic activities, the CBSL continued to follow the accommodative monetary policy adopted last year. Accordingly, the statutory reserve ratio (SRR) was reduced by 200 basis points to 2% in June 2020. This is apart from the reduction in the standing deposit rate and the standard lending rate by 25, 50 and 100 basis points each, in April, May and July 2020, to 4.5% and 5.5% respectively. As a result of that, the AWPLR decreased to 5.75% in March 2021 compared to 9.29% in March 2020.



FINANCIAL CAPITAL

The following discussion and analysis of the financial status of Abans Electricals PLC, as at end of the financial year under review, should be read concurrently with the Audited Financial Statements of the Company for the year ended 31st March 2021, to obtain a better understanding of the Company's financials.

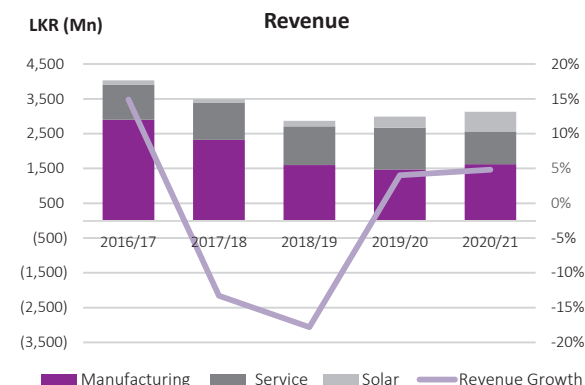
Revenue

LKR 3,129.72 Mn

2019/20 : LKR 2,986.14 Mn **+4.81%**

REVENUE

Despite the adverse market conditions, the total revenue of the Company increased by 4.81% to LKR 3,129.72Mn in 2020/21 [2019/20: LKR 2,986.14Mn] as a result of the volume growth in manufacturing activities and the robust performance of the solar business. Manufacturing revenue increased by 10.45% recording LKR 1,623.20Mn in revenue during the year under review [2019/20: LKR 1,469.64Mn]. Solar revenue increased remarkably by 80.98% to LKR 569.44Mn in 2020/21 [2019/20: LKR 314.64Mn] due to large and medium scale projects undertaken. However, with the lockdown and the mobility restrictions imposed in the country, customer access was limited for servicing and resulted in the service income declining by 22.03% to LKR 937.08Mn in 2020/21 [2019/20: LKR 1,201.85Mn].



Gross profit

LKR 473.36 Mn

2019/20 : LKR 441.35 Mn **+7.25%**

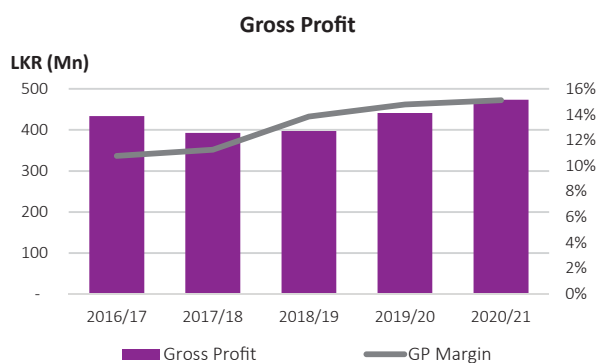
Gross profit margin : 15.12%

2019/20 : 14.78%

GROSS PROFIT

The gross profit for the year under review stood at LKR 473.35Mn [2019/20: LKR 441.35Mn] which is a growth rate of 7.25% year-on-year and a gross profit margin of 15.12% [2019/20: 14.78%]. This growth was a result of sales volume growth in manufacturing and solar businesses, and the efforts directed towards achieving cost efficiencies in production and other value chain processes. However, input cost escalation due to price increases of material and components, higher freight rates and the sharp Sri Lankan rupee depreciation, had a negative impact on the gross profit to some extent.

MANAGEMENT DISCUSSION & ANALYSIS



Operating profit

LKR 232.73 Mn

2019/20 : LKR 202.54 Mn **+14.91%**

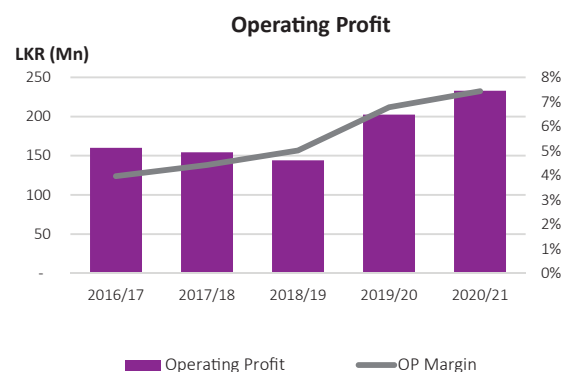
Operating profit margin : 7.44%

2019/20 : 6.78%

OPERATING PROFIT

The operating profit increased by 14.91% to LKR 232.73Mn [2019/20: LKR 202.54Mn] in 2020/21 with a profit margin of 7.44% [2019/20: 6.78%]. The increased operating profit was primarily derived from positive contributions from gross profit and profits earned from disposal of fixed assets.

Nevertheless, the increase in marketing and distribution costs due to marketing expenses incurred for increased solar sales, provisions made for doubtful debtors and the marginal increase in overall administrative expenses negatively affected the operating profit to some extent.



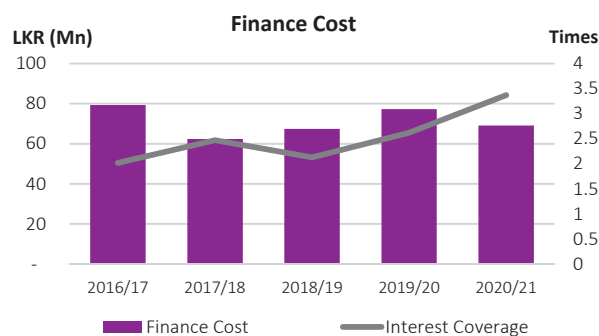
Finance cost

LKR 69.12 Mn

2019/20 : LKR 77.28 Mn **-10.56%**

FINANCE COST

The net finance cost declined by 10.56% during the year under review, to LKR 69.12Mn [2019/20: LKR 77.28Mn] primarily due to reduced market rates applicable for working capital facilities and the decrease in long term borrowing exposure.



Income tax expense

LKR 42.23 Mn

2019/20 : LKR 40.09 Mn **+5.34%**

TAXATION

Income tax expense has increased to LKR 42.23Mn in 2020/21 [2019/20: LKR 40.09Mn] due to the increase in taxable income during the year under review. Further, the deferred tax reversal for 2020/21 amounted to LKR 43.90 Mn due to the reduction in the applicable tax rate. For further details on the Company's tax impact, please refer to Note 09 of the Financial Statements, on page 54.

Pre-tax profit

LKR 163.62 Mn

2019/20 : LKR 125.26 Mn **+30.62%**

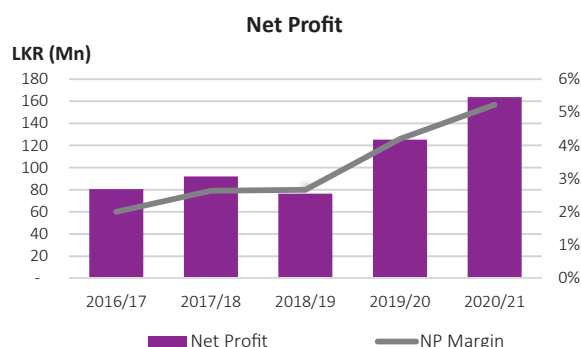
Net profit

LKR 165.29 Mn

2019/20 : LKR 86.57 Mn **+90.92%**

PROFITABILITY

Along with the positive contributions from increased gross profit and decreased finance costs, the pre-tax profit increased by 30.62% to LKR 163.62Mn in 2020/21 [2019/20: LKR 125.26Mn]. The net profit surged by a remarkable 90.92% year on year, to LKR 165.29Mn during the year under review [2019/20: LKR 86.57Mn]. The net profit margin also improved to 5.28% during the year under review [2019/20: 2.90%].



MANAGEMENT DISCUSSION & ANALYSIS

Total assets

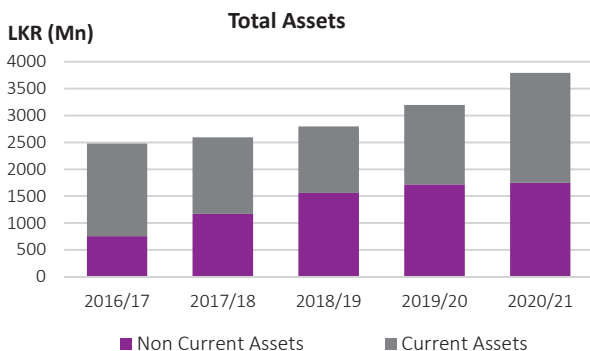
LKR 3,793.25 Mn

2019/20 : LKR 3,196.59 Mn **+18.67%**

TOTAL ASSETS

Total assets expanded to LKR 3,793.25 Mn by the end of 2020/21 [2019/20: LKR 3,196.59 Mn] with an increase of 18.67%. Total non-current assets increased by LKR 30.16Mn in 2020/21 on account of the revaluation gains recorded at the year-end after the revaluation of the land and building portfolio as per the group policy and fixed deposit investments made during the year. Considering the pandemic related uncertainties, the Company had restricted CAPEX investments in 2020/21.

Current assets increased by LKR 566.50 Mn during the year. This was primarily due to the increase in inventories from orders placed in advance for ongoing solar projects and for manufacturing operation as reserve stock to mitigate the negative impacts of the pandemic, and increased trade debtors as a result of increased sales volumes in the 4th quarter.



Total liabilities

LKR 2,136.46 Mn

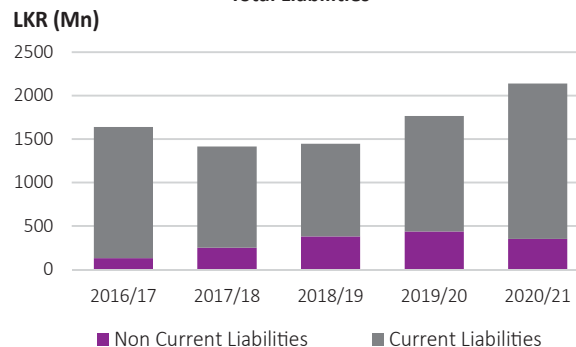
2019/20 : LKR 1,765.11 Mn **+21.04%**

TOTAL LIABILITIES

Total liabilities increased by 21.04% to LKR 2,136.46 Mn by the end of 2020/21 [2019/20: LKR 1,765.11Mn]. Nevertheless, non-current liabilities decreased by LKR 84.52 Mn during the year which is a decline of 19.27% due to the reduction in the applicable tax rate resulted in decreasing deferred tax liability and long term borrowing exposure reduced due to repayment made during the year.

Current liabilities increased by LKR 455.86 Mn by the end of 2020/21 owing to increased short term borrowings for payments to foreign suppliers, increased dues to suppliers for raw material orders for ongoing operational commitments and anticipated seasonal demand, and growth in advances from solar customers corresponding to the increased volume of ongoing solar projects.

Total Liabilities



Market Capitalization

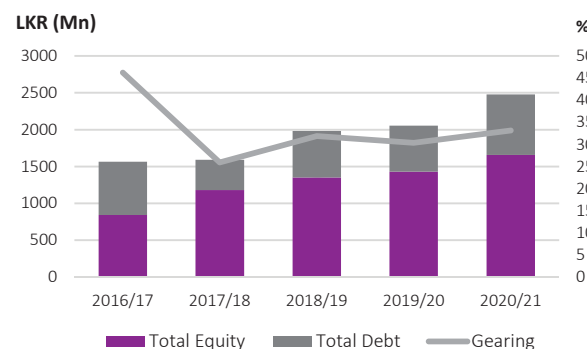
LKR 815.13 Mn

2019/20 : LKR 308.17 Mn **+164.51%**

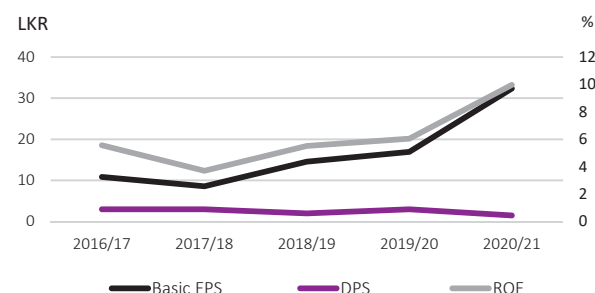
EQUITY

Total shareholders' funds grew by LKR 225.31Mn during 2020/21 to LKR 1,656.79Mn [2019/20: LKR 1,431.47 Mn] which is a growth rate of 15.74%. The profits earned during the year contributed to this growth apart from the revaluation gains earned from land and building revaluations carried at the year end.

Capital Structure



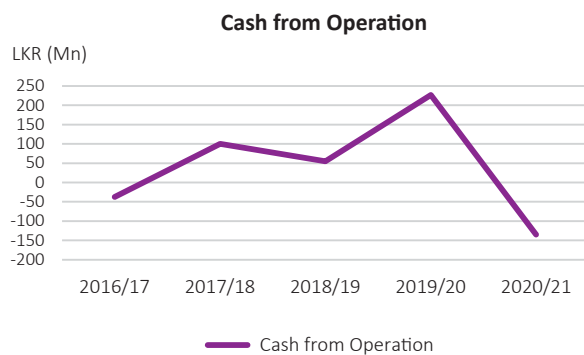
EPS/DPS & ROE



MANAGEMENT DISCUSSION & ANALYSIS

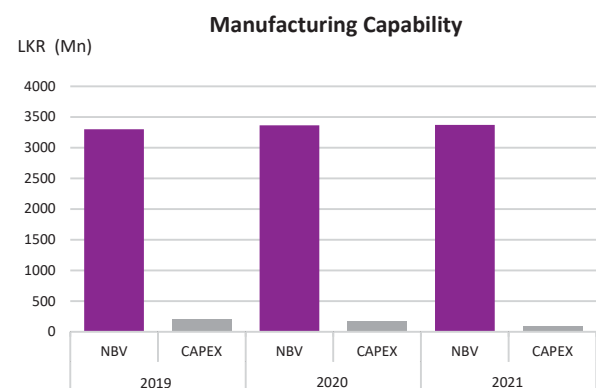
CASH FLOW

Cash generated from company operations before working capital changes, stood at LKR 238.35 Mn in 2020/21 [2019/20: LKR 176.82 Mn]. Net cash generated from operating activities registered a significant decline primarily attributable to the notable increase in investments in inventories. Cash used in investment activities amounted to LKR 9.33 Mn during the year [2019/20: LKR 127.67Mn] as a result of delayed CAPEX investments considering the pandemic situation in the country and limited fixed deposits compared to the last year. Net Cash flow from financing activities increased to LKR 198.42 Mn in 2020/21 primarily owing to payments made to foreign suppliers which converted in to short term borrowings also increasing.



MANUFACTURED CAPITAL

Abans Electricals PLC mainly engages in manufacturing washing machines, assembling a selected range of consumer durable products, installation and after sales services for a broad range of appliances and electronics and installation of roof top solar PV systems. As one of most reputed local brands, Abans aims to provide a seamless experience to customers through a range of Abans products and services. Therefore, the Company possesses buildings, plant and machinery, tools and equipment as manufactured capital, which are vital to conduct core activities and customer value creation. Additionally, the Company also has 15 regional service centers with more than 40 authorized service agents island wide.



Compared to last year, the investments made in CAPEX were limited due to the outbreak of the Covid-19 pandemic. The Company invested only LKR 37.41Mn against LKR 110.44Mn invested in the last year. However, we are committed to enhance our physical and digital manufacturing capabilities to meet customer demand and also to improve the quality of our products and services to enhance the customer experience.

HUMAN CAPITAL

Recognizing human capital as a critical asset and an integral part of business operations, Abans Electricals PLC always emphasizes equal opportunities to all employees. Discrimination on gender, race or religion is not tolerated in attracting, promoting, or determining remuneration. The Company's human resource policies and procedures have been aligned with the HR policies and procedures of the Abans Group. Further, the Company ensures total compliance with all regulatory requirements and industry best practices. The Company focuses on attracting and retaining talented employees as well as emphasizing employee training and development. As the grievance handling mechanism, the Company implements an open-door policy with direct access to the Head of HR and respective Divisional Heads and the Chief Executive Officer. As the health and safety policy, the Company adopts a proactive approach to the management of health and safety practices, while ensuring compliance with all relevant health and safety regulations.

MANAGEMENT DISCUSSION & ANALYSIS

During the year under review, as a responsible corporate, priority was placed on ensuring the safety of our employees and their loved ones from COVID-19. Accordingly, the Company established a committee to implement strict safety and hygiene procedures. This includes ensuring social distancing within factory environments, minimizing cross-interaction, frequent disinfectant, random PCR testing and allowing employees to work from home whenever possible.

In line with the Abans Group's intention, Abans Electricals PLC has also committed to the creation of a "Great place to work". In order to achieve this objective, we endeavor to enhance performance to create a high-performance culture, while also creating an enjoyable and engaging workplace.

No of Employees	791
Male to Female Ratio	19 : 1
New Recruits	217
Retention Rate	77%
Total Training Hours	2290

INTELLECTUAL CAPITAL

Intellectual capital is recognized as one of the most important strategic assets of the organization in the present competitive business environment. In case of Abans Electricals PLC, the technical and process know how, in relation to manufacturing, assembly and customer service, and in-depth knowledge of our product range, are recognized as vital components of our intellectual capital, which plays a vital role in strengthening financial capital as well as procuring a competitive advantage.

NATURAL CAPITAL

Whilst we focus on our economic performance, we are concerned about potential negative impacts on the environment by our operations. As we consume plastics, chemicals, rubber, steel and energy in our business operations, we have established policies and procedures for the sustainable usage of resources and environmental impact management, to enable and encourage resource efficient business operations. The Company obtains environmental compliance certification on an annual basis, which enables the Company to identify and rectify shortcomings, or deviations, pertaining to environmental protection. Further, periodic audits are conducted by concerned business partners in order to verify our standard of compliance. Also, being a company which engages in designing and installing rooftop solar PV systems, we have adopted solar power within our own business. Our 5,628.64 kWp Mw in-house solar PV system generated and supplied 174 units during the year to the national grid, against 133 (3,008.78 kWp) added last year. Further, we have recycled and reused 6,035.57kg of damaged and quality rejected plastic components during the year, which minimized the volume of non-degradable wastage released to the environment.

SOCIAL AND RELATIONSHIP CAPITAL

Abans Electricals PLC is committed towards strengthening relationships and delivering sustainable value creation to our diverse range of stakeholders. Our key stakeholder groups are customers, suppliers and service providers, providers of financial capital, the government and regulatory bodies. As our social and relationship capital, these stakeholders play a vital role in establishing our reputation and trustworthiness.

Although the Company does not directly engage with end customers of its products, as distribution and marketing services are provided by Abans PLC, the Company provides after sales services for products it manufactures and for a wide range of other home appliances marketed by Abans PLC. We always try to provide efficient and effective after sales service to our customers maintaining a high level of customer satisfaction and thereby strengthening our social capital base.

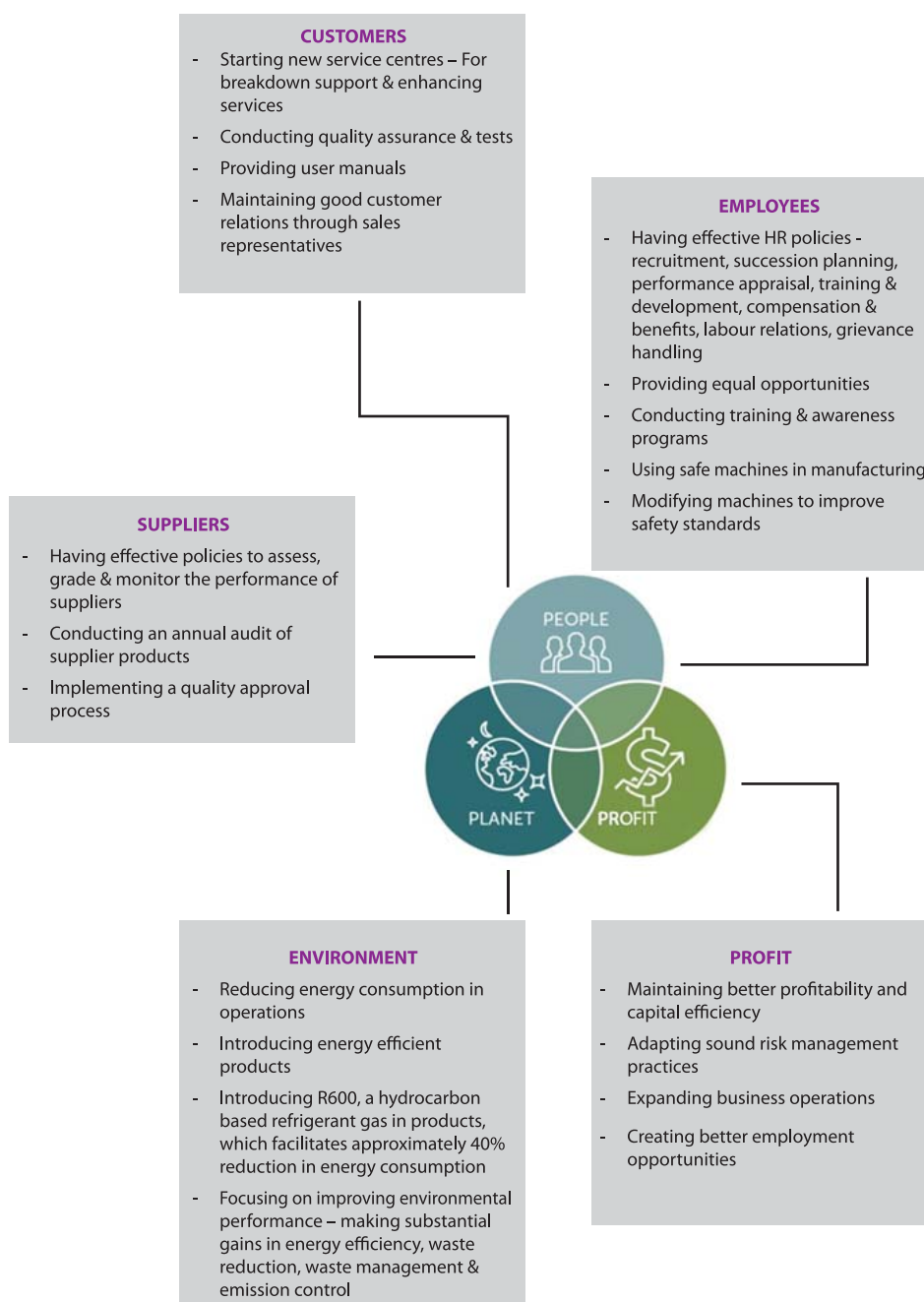
Our suppliers are a crucial factor, that determines the uninterrupted operations and quality of our products. We have contracted with a range of local and foreign suppliers to procure raw materials and services. During the year under review, we negotiated preferential treatment in prices and revision of credit periods, by maintaining effective relationships with them. Additionally, Abans Electricals PLC is involved in the welfare of the community and for that purpose, we conduct many community engagement activities and social events for employees every year. Our intention is to enhance our brand image, support worthy causes and strengthen relationships among staff members. During the year under review however, no planned social activities could be conducted due to COVID containment measures that were in place.

MANAGEMENT DISCUSSION & ANALYSIS

OUR JOURNEY TOWARDS SUSTAINABILITY

As a leading company in Sri Lanka, we have recognized the importance of maintaining a proper balance between economic, environmental and social factors, in conducting our business operations. Therefore, we have always focused on the needs of our stakeholders in order to add value to them while adhering to policies and guidelines aimed towards promoting sustainability. Therefore, we have been able to achieve high customer loyalty, strong brand image, compliance with regulations, high resilience and a satisfied workforce, among other positive outcomes.

Further, during the ongoing COVID – 19 pandemic, we have placed greater stress on sustainability than before, particularly in the areas of health, safety and wellbeing. We strived to strengthen responsiveness to our customer demands and to conduct our normal operations during the ongoing pandemic by enabling remote working facilities, sanitization practices and other safety measures to safeguard the health and safety of our employees and comply with safety guidelines.



BOARD OF DIRECTORS



MRS. ABAN PESTONJEE
Chairperson



MR. BEHMAN PESTONJEE
Managing Director



MR. ATHULA SIRIWARDANE
Executive Director



MR. KUMAR DE SILVA
Independent Non - Executive Director



MR. DINAL MARIO REX PHILLIPS
Independent Non - Executive Director



MRS. D. PRIYANTHI PIERIS
Independent Non - Executive Director
Resigned w.e.f. 05th January 2021

BOARD OF DIRECTORS

MRS. ABAN PESTONJEE

Chairperson

A resourceful and self-taught entrepreneur, Mrs. Aban Pestonjee exemplifies the Abans creed of "finding a need and fulfilling it". Her passion, drive and courage, especially as a South Asian woman in a male dominated business world, have inspired successive generations of Sri Lankan business women. She has received local and international recognition for her achievements. These include the Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women's Association, Sri Lanka Chapter and the bronze award, under the large business category at the Women Entrepreneur of the Year awards by the Women's Chamber of Industry and Commerce, both in the year 2000. She was awarded the KOTRA Plaque of Appreciation in 2005 for forging strategic foreign economic ties between Korea and Sri Lanka. In 2006, Mrs. Pestonjee received international recognition as the Leading Woman Entrepreneur of the World award, presented by the Princess of Thailand.

Mrs. Pestonjee has been interviewed by The Harvard Business School on the subject of "Creating Emerging Markets". The transcript of the interview is retained at the Harvard Business School's Baker Library, among their historical collections, and available to students for research and case studies.

Mrs. Pestonjee also holds directorships at Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tourist Hotels (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Engineering (Pvt) Ltd and Colombo City Centre Partners (Pvt) Ltd.

MR. KUMAR DE SILVA

Independent Non-Executive Director

Appointed to the Board in February 2018, Mr Kumar De Silva has over 30 years of experience in the field of management. He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. Kumar De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK.

MR. BEHMAN PESTONJEE

Managing Director

Qualified as a Marine Engineer, Class 1 (D.O.T. London), Mr. Behman Pestonjee has been involved with Abans PLC since its inception and has been instrumental in building the business. His dynamic leadership of the operations division has been a key driver of success. He oversees most of the critical functions of the organisation including sourcing, marketing and sales and manages important business partnerships. Under his able supervision, the Abans retail network has expanded from a single store to over 400 stores. He is an inspiring leader with a unique management style based on pragmatism and execution.

Mr. Behman Pestonjee holds directorships at many Abans Group Companies including Abans PLC, Abans Retail Holdings (Pvt) Ltd, Abans Environmental Services (Pvt) Ltd, Abans Land (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd and Abans Engineering (Pvt) Ltd.

MR. DINAL MARIO REX PHILLIPS

Independent Non-Executive Director

Appointed to the Board in February 2018, Mr Phillips is a specialist in the field of intellectual property, commercial arbitration, company law litigation and sports law and is a regular practitioner in the Commercial High Court, which was established purely for commercial law disputes. In addition, he engages in injunctions, bank recovery issues, insurance claims, family and labour law matters. With over 30 years of experience in the field of law, he is a Board member of Gestetner of Ceylon Ltd and a former Board Director of the National Development Bank PLC. He was a member of the National Intellectual Property Advisory Commission for 12 years and was elected Chairman twice.

MR. ATHULA SIRIWARDANE

Executive Director

Mr. Athula Siriwardane has been serving in the capacity of Executive Director of Abans Electricals PLC since September 2016. He counts over 40 years of experience in supply chain management and has worked in various capacities in the private sector specialising in the field of import clearances. He played a vital role in enabling the Abans Group to become a diversified business entity.

Due to his vast experience and relationships with state institutions, Mr. Siriwardane is a key company liaison with the Ministry of Finance and other relevant authorities. His dedication and leadership towards the company has enabled the Abans Group to achieve incredible cost savings, while ensuring the timely delivery of the final products. A visionary with a belief in technology and building strong relationships, he invests in future leaders who will shape next-generation supply chain solutions.

MRS. D. PRIYANTHI PIERIS

Independent Non-Executive Director

(Resigned w.e.f. 05th January 2021)

Mrs. Peiris was appointed to the Board in March 2009. She is an Attorney-at-Law of the Supreme Court of Sri Lanka and has over 39 years of experience in corporate and financial law. She is also a solicitor of England & Wales. She is currently engaged in private practice. She served on the boards of Forbes & Walker Ltd., Forbes Ceylon Ltd., Forbes Stock Brokers Ltd, Forbes Air Services Ltd. (general sales agent for Emirates), Vanik Corporate Services Ltd., Office Network (Pvt) Ltd., Capital Reach (Holdings) Ltd. and Associated Motorways Ltd. She currently serves on the boards of JAT Holdings Limited, Associated Electrical Corporation Ltd, Asia Asset Finance PLC, LOLC Finance PLC, PW Corporate Secretarial (Pvt) Ltd, and MTN Corporate Consultants (Pvt) Ltd. She served as a legal adviser to the Ministry of Finance from 2002 - 2004 and as a legal consultant to the Colombo Stock Exchange from 2004 - 2011. She was also a member of the committees set up by the SEC to recommend amendments to the Takeovers & Mergers Code 1995 (as amended) and was a member of the committee appointed to recommend amendments to the Rules for Corporate Governance.

CORPORATE GOVERNANCE

As a responsible corporate citizen, the Board and management of Abans Electricals PLC are fully cognisant of the Company's statutory and ethical responsibilities, regarding the formulation and practice of good governance principles across its business activities. The Company has established a sound corporate governance framework that is aligned with industry best practices and complies with mandatory regulatory requirements to build an environment of trust, transparency, and accountability necessary for sustaining long-term business growth and fulfilling dynamic stakeholder needs. Corporate Governance practices are regularly reviewed and updated by those charged with governance of the Company.

The corporate governance framework of Abans Electricals PLC comprises three key segments, Internal Governance Structure, External Governance Structure and Assurance.

INTERNAL GOVERNANCE STRUCTURE

This comprises the Board of Directors, Board and Senior Management Committees, internal policies, systems and procedures that are aimed at establishing a good governance culture and organization sustainability.

The Board of Directors

The Board sets the strategic direction and objectives of the Company and review the detailed actions plans formulated by the senior management to achieve it. The Board also provides entrepreneurial leadership within a framework of prudent and effective controls which enables risks to be assessed, managed and to take remedial actions for any deviation. The Board meets quarterly and maintains regular dialog with key management personnel to review performance against set targets and compliance with laws and regulations.

Board Balance and Composition

The Board comprised six (6) Directors, with three (3) of them being Non-Executive Independent Directors. Mrs. Priyanthi Peiris resigned from the Board with effect from 05th January 2021 and the revised Board comprises five (5) Directors, with two (2) of them being Non-Executive Independent Directors.

Profiles of the Board of Directors

Brief profiles of the Board members are given in pages 14 and 15 of this Annual Report

Board's Responsibilities

The Board is collectively and individually responsible to formulate, implement and monitor business strategy, develop effective systems to secure the integrity of information, internal controls, business continuity and risk management, ensure compliance with laws, regulations and ethical standards, consider the interests of all stakeholders in corporate decisions and establish processes for corporate reporting. Directors make individual and collective judgments and obtain internal and external professional consultancy for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

Abans Electricals PLC is pleased to state that it is fully compliant with all mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange; and has voluntarily complied with the provisions of the Code of Best Practice on Corporate Governance jointly advocated by the Securities and Exchange Commission and the Institute of Chartered Accountants of Sri Lanka, wherever possible.

Chairperson's Responsibilities

The Chairperson is primarily responsible for leading and managing the Board and facilitates and encourages discussions among all Directors in decision making. In addition to that the Chairperson represents the view of the Board to the public and ensures the Board is in complete control of the Company's affairs and alert to its obligations towards all shareholders and other stakeholders.

Chief Executive Officer's Responsibilities

The Chief Executive Officer (CEO) continuously monitors and reports to the Board on performance of the Company and is responsible to implement the Company's strategic plan and policies of the Board. The CEO guides and supervises senior management to ensure that the operating model of the Company is aligned to achieve short-term, medium-term and long-term objectives.

Financial Acumen

The Board has sufficient financial acumen to offer guidance on matters of finance, with a Board member holding memberships in professional accountancy bodies, and retains external consultations whenever necessary.

Board Meetings

During the year under review, four Board meetings were held. The meeting agendas and Board papers were circulated to all Board members prior to Board and Sub-committee meetings. Attendance at the Board meetings held during the financial year 2020/21 is as follows.

Name	Attended
Mrs. Aban Pestonjee	3/4
Mr. Behman Pestonjee	4/4
Mr. Athula Siriwardane	3/4
Mrs. Priyanthi Pieris*	3/3
Mr. Kumar De Silva	4/4
Mr. D M R Phillips	3/4

*Resigned w.e.f. 05th January 2021

CORPORATE GOVERNANCE

Appointments / Re-Election to Board

The Board as a whole represents the Nomination Committee and makes decisions on selection criteria and appointments to the Board. The evaluation criteria are set based on the goals and objectives of the Company. Based on those criteria, suitable and capable persons are selected who can contribute to the Company. Procedures specified in the Articles of Association are mandatory for the retirement and re-election of Directors.

Appraisal of the Board

The performance of the Board members is reviewed and evaluated by the Board and Chairperson by giving due consideration to the external and internal environment and measuring the degree of success, or the failure, in achieving goals and objectives assigned individually and collectively.

Directors' Remuneration

The Company has established a formal and transparent policy on Directors' remuneration and the Remuneration Committee makes recommendations in determining remuneration packages to attract, retain and motivate the best personnel to the Board. Remuneration for Non-Executive Directors is determined based on the time commitment, role and responsibilities of each individual Director, as well as industry experience. The remuneration and other benefits of the Board of Directors are set out in Note No. 31 to the financial statements.

Secretaries

Varners International (Private) Limited, has been appointed as the Company Secretaries, to ensure the adherence to rules and regulations and to administer Board proceedings, minutes, agendas and papers required for Board meetings.

Communication with Shareholders

The Board is fully aware of the importance of shareholders in the context of good corporate governance, transparency and accountability. Therefore, the Board assures that shareholders have equal access to information and ensures adequate and timely disclosure of all material information pertaining to the Company.

Board Sub-Committees

The Board has delegated some of its functions to Board Sub-Committees, while retaining final decision making rights. The Board Sub-Committees comprise predominantly of Independent Non-Executive Directors. The Three Board Sub-Committees are as follows:

- Audit Committee
- Remuneration Committee
- Related Party Transactions Review Committee

A brief description about these committees is set out in page no. 22 to 26.

Board Sub-Committee Composition

	Audit Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors			
Mrs. Aban Pestonjee			
Mr. Behman Pestonjee			M
Mr. Athula Siriwardane			
Independent Non-Executive Directors			
Mrs. Priyanthi Pieris*	M		C/M
Mr. Kumar De Silva	C/M	C/M	M
Mr. D M R Phillips	M	M	C/M**

C – Chairman / M – Member

* Resigned w.e.f 05th January 2021

** Appointed w.e.f 05th January 2021

EXTERNAL GOVERNANCE STRUCTURE

This comprises the laws, regulations and best practices that enable the Company to operate within a sound corporate governance framework. During the financial year under review, the Company has fully complied with all mandatory provisions applicable to the Company, as stipulated by the Companies Act No. 07 of 2007 and the Listing Rules published by the Colombo Stock Exchange. A detailed compliance report is set out below.

CORPORATE GOVERNANCE

STATEMENT OF COMPLIANCE UNDER SECTION 7.6 OF THE LISTING RULES OF THE COLOMBO STOCK EXCHANGE (CSE) ON ANNUAL REPORT DISCLOSURE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
i	Names of persons who were Directors of the Entity	Yes	Refer page no. 14 - 15
ii	Principal activities of the entity and its subsidiaries during the year, and any changes therein	Yes	Refer page no. 32
iii	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Yes	Refer page no. 77
iv	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Yes	Refer page no. 76 - 77
v	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	Yes	Refer page no. 34
vi	Information pertaining to material foreseeable risk factors of the Entity	Yes	Refer page no. 27 -31
vii	Details of material issues pertaining to employees and industrial relations of the Entity	Yes	There are no material issues pertaining to employees and Industrial relations.
viii	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Yes	Refer page no. 33
ix	Number of shares representing the Entity's stated capital	Yes	Refer page no. 76
x	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Yes	Refer page no. 76 - 77
xi	Financial ratios and market price information	Yes	Refer page no. 3 & 76
xii	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Yes	Refer note 12 on page no. 55 - 58
xiii	Details of funds raised through a public issue, rights issue and a private placement during the year	Yes	There were no fund raising activities carried out to increase the stated capital
xiv	Information in respect of Employee Share Ownership or Stock Option Schemes	Yes	There is no Employee Share Option Scheme, or Purchase Scheme
xv	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	Yes	Refer page no. 19 - 20
xvi	Related Party transactions exceeding 10 per cent of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	Yes	Refer page no. 69

CORPORATE GOVERNANCE

STATEMENT OF COMPLIANCE UNDER SECTION 7.10 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1	Non-Executive Directors (NED)		
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	Yes	Two out of five Board members are NEDs
7.10.2	Independent Directors		
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	Yes	All NED are independent
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	Yes	NEDs have submitted signed confirmation of their independence.
7.10.3	Disclosures Relating to Directors		
a/b	Board shall annually determine the independence or otherwise of NEDs	Yes	The Board has determined that the criteria for independence has been met for NEDs
c	A brief resume of each Director should be included in the annual report including the Directors' experience	Yes	Refer page no. 14 - 15
d	Provide a resume of new Directors appointed to the Board along with details	Yes	There was no appointments to the Board, during the year under review.
7.10.4	Criteria for Defining Independence		
a to h	Requirements for meeting the criteria to be an Independent Director	Yes	The Board as a whole decides on selection criteria
7.10.5	Remuneration Committee (RC)		
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	Yes	Refer page no. 24
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	Yes	Refer page no. 24
b	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	Yes	Refer page no. 24
c.1	Names of Remuneration Committee members	Yes	Refer page no. 24
c.2	Statement of Remuneration policy	Yes	Refer page no. 24
c.3	Aggregate remuneration paid to EDs and NEDs	Yes	Refer note 08 on page no. 53
7.10.6	Audit Committee (AC)		
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	Yes	Refer page no. 22 - 23
a.2	A NED shall be the Chairman of the committee	Yes	Refer page no. 22 - 23
a.3	CEO and CFO should attend AC meetings	Yes	Refer page no. 22 - 23
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	Yes	Refer page no. 22 - 23
b	Functions of the AC	Yes	Refer page no. 22 - 23
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with SLFRS/LKAS	Yes	Refer page no. 22 - 23
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	Yes	Refer page no. 22 - 23

CORPORATE GOVERNANCE

STATEMENT OF COMPLIANCE UNDER SECTION 7.10 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/ Comment
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the SLFRS/LKAS	Yes	Refer page no. 22 - 23
b.4	Assessment of the independence and performance of the Entity's External Auditors	Yes	Refer page no. 22 - 23
b.5	Make recommendations to the Board pertaining to External Auditors	Yes	Refer page no. 22 - 23
c.1	Names of the Audit Committee members shall be disclosed	Yes	Refer page no. 22 - 23
c.2	Audit Committee shall make a determination of the independence of the External Auditors	Yes	Refer page no. 22 - 23
c.3	Report on the manner in which Audit Committee carried out its functions.	Yes	Refer page no. 22 - 23

STATEMENT OF COMPLIANCE UNDER SECTION 9.3.2 OF THE LISTING RULES OF THE CSE ON CORPORATE GOVERNANCE

Rule	Governance Requirement	Compliance Status	Reference/Comment
a	Details pertaining to Non-Recurrent Related Party Transactions	Yes	Refer page no. 69
b	Details pertaining to Recurrent Related Party Transactions	Yes	Refer page no. 69
c	Report of the Related Party Transactions Review Committee	Yes	Refer page no. 25 - 26
d	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to RPT, or a negative statement otherwise	Yes	Refer page no. 34

STATEMENT OF COMPLIANCE PERTAINING TO THE COMPANIES ACT NO. 7 OF 2007

Rule	Governance Requirement	Compliance Status	Reference/Comment
168 (1) (a)	The nature of the business together with any change thereof	Yes	Refer item 1.2 on page no. 44
168 (1) (b)	Signed financial statements of the Group and the Company	Yes	Refer page no. 40 - 75
168 (1) (c)	Auditors' Report on financial statements	Yes	Refer page no. 37- 39
168 (1) (d)	Accounting policies and any changes therein	Yes	Refer page no. 44 - 52
168 (1) (e)	Particulars of the entries made in the Interests Register	Yes	Refer page no. 33
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Yes	Refer note 08 on page no. 53
168 (1) (g)	Corporate donations made by the Company	Yes	Refer note 08 on page no. 53

CORPORATE GOVERNANCE

STATEMENT OF COMPLIANCE PERTAINING TO THE COMPANIES ACT NO. 7 OF 2007

Rule	Governance Requirement	Compliance Status	Reference/Comment
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during, and at the end of the accounting period	Yes	Refer page no. 33 - 34
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Yes	Refer note 08 on page no. 53
168 (1) (j)	Auditors' relationship or any interest with the Company and its Subsidiaries	Yes	Refer page no. 22 - 23
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Yes	Refer page no. 41

ASSURANCE

The Corporate Governance framework is supported by independent assurance by the Group's Internal Audit Division and the External Auditors of the Company.

Internal Audit

The Group's Internal Audit Department directly reports to the Audit Committee and conducts periodic reviews to ensure that the internal controls and procedures are consistently followed and complies with laws and regulations. A comprehensive annual audit plan is prepared to cover both operational and financial aspects of the Company. Any deviations from the existing internal controls and procedures are highlighted and remedial actions are recommended whenever necessary.

External Audit

The External Auditors' report assists the Board to determine the adequacy and effectiveness of the Company's internal controls and provides reasonable assurance on the credibility, reliability and integrity of the information presented in financial statements. Messrs. SJMS Associates Chartered accountants were the external auditors of Abans Electricals PLC and are responsible for the audit of the financial statements of the Company.

AUDIT COMMITTEE REPORT

ROLES AND RESPONSIBILITIES

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements, internal control and risk management system, compliance with legal and regulatory requirements, reviewing the external auditor's performance, qualifications and independence, and the adequacy and performance of the internal audit function which is performed by the Group Internal Audit division.

The Board of Directors has approved and adopted the Audit Committee Charter, which sets out the scope of functions and responsibilities of the Audit Committee.

COMPOSITION

The Audit Committee comprised three (03) Independent Non-Executive Directors. During the year under review, the Committee consisted of the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D. M. R. Phillips
- Mrs. Priyanthi Pieris *

* Resigned w.e.f. 05th January 2021

M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee.

MEETINGS

During the year under review, four (04) Audit Committee meetings were held to discuss the Reports of the Internal and External Auditors and Interim Financial Statements. The attendance of the members at these meetings were as follows.

Name	Attended
Mr. Kumar De Silva	4/4
Mr. D M R Phillips	3/4
Mrs. Priyanthi Pieris*	3/3

* Resigned w.e.f. 05th January 2021

Other Directors, including the Group Chief Financial Officer, Chief Executive Officer of the Company, Heads of Finance of the Two Divisions (Manufacturing and Service), the Group Chief Internal Auditor and the External Auditors, also attended these meetings by invitation.

The activities and views of the Committee were communicated to the Board of Directors on quarterly basis through verbal briefings, and by tabling the minutes of the Committee meetings.

REPORTING OF FINANCIAL STATEMENTS

The Audit Committee reviewed and discussed the Company's quarterly and annual financial statements with other directors, management and the internal auditors, prior to publication, to ascertain compliance of the statements and disclosures with the Sri Lanka Accounting Standards and other mandatory, statutory and regulatory requirements laid down by the authorities, and the appropriateness and changes in accounting policies and material judgmental matters.

The key responsibilities of the Committee include:

- Reviewing quarterly and annual financial statements to ensure quality, transparency, integrity, accuracy and compliance with accounting standards, laws and regulations.
- Reviewing the adequacy of the Company's internal controls framework and effectiveness of established internal control procedures.
- Evaluating the Company's risk management mechanism and adequacy of steps taken to identify, assess and mitigate possible risks.
- Reviewing the adequacy and effectiveness of internal audit arrangements.
- Recommending the appointment, re-appointment and removal of the External Auditors.
- Monitoring the financial reporting process and providing assurance on the financial statements through an independent and objective assessment.
- Assisting the Board to discharge its responsibilities on ensuring the quality of financial reporting and information

The Committee obtained independent input from the External Auditors on the effects of any new Sri Lanka Accounting Standards that came into effect for the year under review to ensure the compliance with these new standards.

INTERNAL AUDIT, RISK AND CONTROLS

During the year, the Committee reviewed the adequacy and progress of the internal audit function and monitored the progress of the audit on a regular basis ensuring that the internal audit function is independent. The Committee reviewed the Internal Auditor's reports and considered findings and recommendations stated therein relating to significant business risks and control issues. The frequency of internal audit assignments depend on the risk profile of the respective area and such approach was adopted to optimize the balance between risk mitigation and associated cost thereof.

The Committee monitored the adequacy and effectiveness of internal controls in the Company and compliance with laws and regulations, and established policies and procedures for the Company to ensure the safeguard of the assets of the Company and the reliability of the financial reporting system which is used for the preparation and presentation of Financial Statements.

The Committee provided guidance to the Board to identify significant risks, and to assess and mitigate the impact of risks associated in particular with exchange rate and interest rate fluctuations, changes in tariffs, changes in market share, shifts in customer preferences and changes

AUDIT COMMITTEE REPORT

to the economic environment as a result of the Pandemic. Adequacy and effectiveness of debtor/creditor policies and working capital management techniques were reviewed as an integral part of financial risk management.

EXTERNAL AUDIT

The External Auditor's letter of engagement, including the scope of the audit, was reviewed and discussed by the Committee with the external auditors and management prior to the commencement of the audit. Before the conclusion of the audit, the External Auditors reported to the Committee on an ongoing basis regarding significant matters and discussed all audit issues together with the management and agreed on their treatment. The Committee evaluated the independence of the External Auditor and the effectiveness of the audit process and reviewed the external auditor's reports on audits and audited financial statements pertaining to their conformity with the Sri Lanka Accounting Standards.

The performance of the External Auditor has been evaluated and the Audit Committee recommended to the Board that Messrs SJMS Associates be reappointed as the External Auditor for the financial year ending 31st March 2022, subject to shareholder approval at the Annual General Meeting.

CONCLUSION

The Committee is satisfied about the operation of business activities, internal controls and procedures, compliance with laws and regulations, safeguards pertaining to assets, and the financial reporting system of the Company.

I wish to thank all members who served in the Committee during this period for their contributions to the deliberations of the Committee.

Kumar De Silva

Chairman - Audit Committee

REMUNERATION COMMITTEE REPORT

The primary objective of the Remuneration Committee is to attract, retain and motivate suitably qualified Executive Directors and Key Management Personnel to execute company strategies. The Remuneration Committee engages in evaluating and determining the appropriate remuneration of Executive Directors and Key Management Personnel based on the guidelines stipulated by the Board of Directors, market comparators for similar positions and Group Compensation and Benefits Policy.

POLICY

The Remuneration Policy of Abans Electricals PLC focuses on attracting, motivating, and retaining staff with appropriate professional, managerial and operational expertise in order to achieve the goals and objectives of the company.

COMPOSITION

The Remuneration Committee consists of two (02) Independent Non-Executive Directors appointed by the Board of Directors. During the year under review, the Committee consisted of the following members:

- Mr. Kumar De Silva (Chairman)
- Mr. D. M. R. Phillips

MEETINGS

During the year under review, two (02) meetings were held by the Committee in order to discuss the staff performance appraisal system and its procedures, the performance bonus and its quantum, and remuneration and other benefits of executive and senior management. The recommendations made by them were submitted to the Board.

The attendance at the Remuneration Committee meetings, held during the financial year 2020/2021, is given below.

Name	Attended
Mr. Kumar De Silva	2/2
Mr. D M R Phillips	2/2

CONCLUSION

The Committee assessment is that the present remuneration for Directors is fair and reasonable.

Kumar De Silva

Chairman – Remuneration Committee

SCOPE

The scope of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organization, which incorporates performance-based incentives. The Committee pays special attention to remuneration packages for executive staff and senior management. In this system, every member of staff is informed of key result areas that will be judged, along with an objective performance evaluation system.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

OBJECTIVE OF THE COMMITTEE

The objective of the Committee is to exercise oversight on behalf of the Board to ensure compliance with the Code on Related Party Transactions, as issued by the Securities and Exchange Commission of Sri Lanka ('The Code') and with the Listing Rules of the Colombo Stock Exchange (CSE). The Committee has also adopted best practices as recommended by the Institute of Chartered Accountants of Sri Lanka.

All related party transactions of the Company are independently reviewed and approved, and the Committee ensures that shareholder interests are protected; and fairness and transparency are maintained when entering into related party transactions, and to prevent Directors, Key Management Personnel, or substantial shareholders, from taking advantage of their positions.

COMPOSITION

The Committee appointed by, and responsible to, the Board of Directors, comprises two (02) Independent Non – Executive Directors and one (01) Executive Director. During the year under review, the Committee consisted of the following members:

- Mrs. Priyanthi Pieris (Chairperson) *
- Mr. D. M. R. Phillips (Chairman) **
- Mr. Kumar De Silva
- Mr. Behman Pestonjee

* Resigned, w.e.f. 05th January 2021

** Appointed, w.e.f. 05th January 2021

M/S Varners International (Pvt) Ltd, the Company Secretaries served as the Secretary to the Committee.

MEETINGS

During the year under review, four (04) Related Party Transactions Review Committee meetings were held and the attendance of the members at these meetings were as follows.

Name	Attended
Mrs. Priyanthi Pieris *	3/3
Mr. D M R Phillips**	1/1
Mr. Kumar De Silva	4/4
Mr. Behman Pestonjee	4/4

* Resigned , w.e.f. 05th January 2021

** Appointed w.e.f. 05th January 2021

The activities and views of the Committee have been communicated to the Board of Directors, quarterly, through verbal briefings, and by tabling the minutes of the Committee meetings.

POLICIES AND PROCEDURES

The Company has in place a Related Party Transactions Policy, whereby the categories of persons/entities who shall be considered as "Related Parties" have been identified.

SCOPE OF THE COMMITTEE

- To manage relationships with related parties to maintain good governance and the best interests of the Company.
- To provide an independent review, approval and oversight of related party transactions (except those expressly exempted by the Rules)
- To determine whether related party transactions that are to be entered into by the Company require Board approval, or approval from shareholders of the Company.
- To establish guidelines in respect of recurrent related party transactions for senior management to follow in its ongoing dealings with the relevant related party.
- To ensure that no Director of the Company shall participate in any discussion of a proposed related party transaction for which he or she is a related party, unless such a Director is requested to do so by the Committee, for the express purpose of providing information concerning the related party transaction to the Committee.
- To ensure that immediate market disclosure and disclosure in the annual report, as required by the Rules, are made in a timely and detailed manner.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee at their meetings, reviewed possible related party transactions for the year 2020/2021. It was observed that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company. In the opinion of the Committee, these transactions were not on more favorable terms to the related party, than those generally available to the public.

Concerning the sales of the Company, a majority of the items manufactured and assembled by the Company were sold to Abans PLC and this transaction was recurrent in nature and necessary for the day-to-day operations of the Company. It was noted that the total sale price offered was adjusted based on negotiations between the two parties, and the arrangement between the parties were taken into consideration, whereby Abans PLC has purchased majority of the products manufactured and assembled by the Company.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

DECLARATION

A declaration by the Board on compliance with the Rules pertaining to related party transactions is included in the Report of the Board of Directors on page 34 of this Annual Report.

I wish to take this opportunity to thank all members who served in the Committee for their contributions to the deliberations of the Committee during this period.

Mrs. Priyanthi Pieris

Chairperson - Related Party Transactions Review Committee
(Resigned w.e.f. 05th January 2021)

Mr. D M R Phillips

Chairman - Related Party Transactions Review Committee
(Appointed w.e.f. 05th January 2021)

ENTERPRISE RISK MANAGEMENT

Risk Management is an integral component of the overall corporate governance framework and is a continuously evolving and developing process. A robust risk management process is essential for identifying the sources of potential risks, their likelihood of occurrence and impact, and then developing a mitigation plan to address them. A sound risk management mechanism aids the Company to maintain sustainable business growth and enhance value creation for all stakeholders.

The Board of Directors is ultimately responsible for the governance of risk and effective risk management. The Board is supported by the Audit Committee in ensuring that all significant risks are identified, assessed and managed efficiently and effectively apart from their responsibilities of monitoring internal controls and engaging with internal and external auditors. Further, the Board regularly reviews defined risk functions and enhances risk management related policies and procedures and is responsible for defining the risk appetite, setting risk objectives, approving the risk management framework and approving policies for effective risk management.

Regular staff training and awareness programmes are conducted to build a risk ownership culture within the Company and to enhance the understanding of their individual roles and responsibilities in relation to risk management.

The existing risk management function of the Company is based on following strategic objectives.

- To identify, evaluate, monitor and manage significant risks to the Company.
- Define the Company's risk appetite and align the Company's business strategy and plans.
- Support efficient management of resources to ensure business growth.
- To develop a well-defined risk management culture within the Company

The significant risk exposures of the Company, potential impacts and risk mitigation actions that are in place, are detailed below.

ECONOMIC AND BUSINESS RISKS

Risk	Macro-economic risks	
Potential Impact	Frequent changes in the political environment and instability in the economic environment adversely affects the performance of the Company. The implications on consumer confidence and purchasing power have a direct impact on the demand for electronic appliances in the market.	
Developments in 2020/21	Due to the COVID-19 pandemic, Sri Lanka experienced a GDP contraction of 3.6%. The Government imposed regulations and curfew / travel restrictions that resulted in significant interruptions to business operations and ultimately the performance of the Company.	
Risk Mitigation	The Company closely monitored macro-economic changes and adapted business strategies in line with external developments. The Board and the Senior Management Team regularly reviewed the impact of economic conditions on Company strategic plans.	
Risk Rating	2019/20	Moderate
	2020/21	High

Risk	Government policy and regulations	
Potential Impact	Unfavorable government policies and regulations that have significant impacts on business operations, could depress the potential revenue of the Company.	
Developments in 2020/21	During the COVID-19 outbreak, import restrictions on non-essential items and exchange control measures were temporally imposed by the Government in order to manage the exchange rate. These restrictions had a significant impact on business operations.	
Risk Mitigation	The Board and the Senior Management Team maintained continuous dialogue and negotiations with key government institutions, various industry associations and industry chambers. The Company regularly evaluated long term plans and development approaches of the Government, in order to seize opportunities.	
Risk Rating	2019/20	High
	2020/21	High

ENTERPRISE RISK MANAGEMENT

FINANCIAL RISKS

Financial risk management is a key element of the overall risk management process. The areas of interest rate risk, currency risk, credit risk and liquidity risk were the main sub categories under financial risks, that could potentially impact the Company. The Finance Division, together with the Group Treasury and the Group Chief Financial Officer, is responsible to manage finance risk effectively and efficiently.

Risk			Interest rate risk
Potential Impact			An increase in interest rates will have an adverse impact on profitability by way of increased cost of borrowing.
Developments in 2020/21			Amidst the pandemic, interest rates were on a downward trend due to the Government's supportive monetary policies to boost economic activities. This had the positive effect of reducing the cost of borrowing.
Risk Mitigation			The Company maintains strong relationships with lenders and the strength of the Abans group help to negotiate favourable terms of credit. Company keeps a mix of both fixed and variable rate of interest to manage the impact of interest rate fluctuations.
Risk Rating	2019/20		Moderate
	2020/21		Low

Risk			Currency risk
Potential Impact			Government policy on foreign relationships has a direct impact on the profitability of the Company. In addition, unexpected fluctuations in the exchange rate could dilute operating margins by way of increasing import costs.
Developments in 2020/21			Due to the exchange rate pressure derived with the pandemic, the Exchange Controller, together with the CBSL issued various directives to licensed commercial banks. These include restrictions on entering foreign exchange forward contracts, defining foreign supplier minimum credit periods and restricting settlements of pre-matured foreign dues, to manage volatility in the foreign exchange market. During the year under review, the Sri Lankan rupee has continuously depreciated against the US dollar.
Risk Mitigation			The Company continuously monitored changes in exchange rates and managed adverse impacts on costs by improving efficiencies and productivity. The Company regularly evaluated the affect on costing and pricing due to exchange rate fluctuations and made necessary modifications accordingly.
Risk Rating	2019/20		High
	2020/21		High

Risk			Liquidity risk
Potential Impact			Liquidity risk is when the Company does not have financial resources to meet its financial liabilities when they become due. Inadequate liquidity can have an adverse impact on ongoing operations.
Developments in 2020/21			During the year under review, the Company experienced short term liquidity constraints due to loss of business as a result of measures taken by the Government to curtail the spread of the virus.
Risk Mitigation			The liquidity position of the Company was regularly reviewed and working capital risk was managed effectively. The Company negotiated with financial institutions to obtain extensions for existing import loans and restructured facilities towards favorable terms. Undrawn committed credit facilities were maintained to meet short, medium and long-term funding requirements and any unforeseen commitments.
Risk Rating	2019/20		Moderate
	2020/21		Moderate

ENTERPRISE RISK MANAGEMENT

Risk	Credit risk	
Potential Impact	The Company is exposed to credit risk in the form of financial losses when a customer defaults. Abans PLC is the main client of the Company and the rest of the client portfolio consists of corporate clients, government and individual customers.	
Developments in 2020/21	Due to the pandemic situation, the Company experienced a slight slowdown in collections due to repeated disruptions of normal business operations and pay cuts and supplier payment deferral policies implemented by various corporates.	
Risk Mitigation	The Company regularly monitored debt follow-up and collection and took necessary action in the case of long outstanding debtors. Credit worthiness and debtor age analysis were regularly reviewed and continually monitored. The Company entered into contractual agreements with customers whenever necessary and significant payments were secured by bank guarantees and letters of credit.	
Risk Rating	2019/20	Moderate
	2020/21	Moderate

OPERATIONAL RISKS

Risk	Supply chain risk	
Potential Impact	The Company engages with a large pool of international and local suppliers and failure of such key suppliers and service providers could interrupt business operations. Potential losses could arise from supply disruptions, procurement and material quality related reasons.	
Developments in 2020/21	Due to the COVID outbreak, global supply chains were disrupted from lockdowns and border closures, and slight shipment delays were experienced due to limited port operations and transport restrictions. Local supply chains were disrupted due to travel restrictions, isolation and lockdowns.	
Risk Mitigation	Based on the early signs, purchase orders were placed in a rational manner and adequate stocks were secured. Further, the Company regularly reviewed procurement and distribution plans and searched for alternative sourcing avenues. The Company maintains strong, long-standing relationships with both foreign and local suppliers. Therefore, the Company was able to obtain preferences in requested orders.	
Risk Rating	2019/20	Moderate
	2020/21	Moderate

Risk	Information technology risks	
Potential Impact	The Company relies on an IT system that covers inventory management, financial reporting and the payroll process. Any significant failure in the IT system would adversely impact operations and the decision-making process of the Company.	
Developments in 2020/21	Due to the pandemic situation, IT infrastructure was provided, and remote access was enabled to facilitate a work from home arrangement. As a result of shifting to a remote work environment, the exposure to cyber security threats and unauthorized access to sensitive data, could be elevated.	
Risk Mitigation	The Group IT Division has established adequate IT related policies and procedures to safeguard network and information security. Regular backups of all data bases and critical information were maintained.	
Risk Rating	2019/20	Moderate
	2020/21	Moderate

ENTERPRISE RISK MANAGEMENT

Risk			People related risks
Potential Impact	A failure to attract, retain, develop and motivate suitable employees and a failure to maintain adequate numbers of the right human resources, may impact the achievement of operational and strategic objectives on time.		
Developments in 2020/21	Amidst adverse economic conditions, the unemployment rate in Sri Lanka gradually increased and the job market was severely affected as many employers froze recruitments and laid-off employees.		
Risk Mitigation	The Company took action to recruit the best people with the right skills. A performance based reward system, succession planning and career development programmes were implemented. Remuneration packages were periodically evaluated to ensure compatibility with industry pay rates. Procedures have also been implemented to handle grievances and staff complaints.		
Risk Rating	2019/20	Moderate	
	2020/21	Moderate	

Risk			Health and safety risks
Potential Impact	The Company is responsible to ensure a safe working environment for employees to protect their health and lives.		
Developments in 2020/21	Health and safety risks increased with the rapid spread of COVID-19 and ultimately interrupted day to day business operations. Government authorities introduced stringent health and safety protocols to manage the threats to employees from the possible spread of the virus at the workplace.		
Risk Mitigation	Adequate preliminary level medical facilities are provided, and insurance policies are obtained for all employees for health and safety. In addition, stringent health and safety measures were implemented across all operations adhering to social distancing measures and health guidelines issued by relevant authorities. Personal hygiene related facilities and personal protective equipment were provided.		
Risk Rating	2019/20	High	
	2020/21	High	

Risk			Environment related risk
Potential Impact	The Company is exposed to risks from losses that arises due to negative environment impacts from business activities and/ or, non-compliance with environmental regulations.		
Developments in 2020/21	Consumption of plastics, chemicals, rubber, steel, and energy increased due to growth in local manufacturing.		
Risk Mitigation	The Company adopts industry best practices and ISO standards. All premises and processes comply with the requirements of environmental regulations. Continuous collaborations are in place with relevant environmental regulatory bodies. Renewable energy sources, such as solar power generating facilities, are in place. The Company continued to recycle and reuse damaged and quality rejected plastic components to minimize non-degradable wastage released to the environment.		
Risk Rating	2019/20	Moderate	
	2020/21	Moderate	

ENTERPRISE RISK MANAGEMENT

MARKET PLACE RISKS

Risk	Reputational risk	
Potential Impact	Potential for negative publicity due to public perception, or uncontrollable events could have an adverse impact on a Company's reputation, thereby affecting its revenue. Possible quality failures in products or services could impact Company reputation.	
Developments in 2020/21	Lockdown/travel restrictions imposed by the Government to curtail peoples' movements significantly affected the prompt delivery of after sales services required by customers.	
Risk Mitigation	The Company obtains regular customer feedback to monitor customer satisfaction levels. The operational team responds and takes necessary action on complaints and suggestions. The Company adhered to statutory and environmental regulations and complied with strict quality control measures pertaining to quality certifications (ISO 9001: 2008). Continuous training, quality management and assurance programmes were facilitated to strengthen product quality.	
Risk Rating	2019/20	High
	2020/21	High

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Directors of Abans Electricals PLC have pleasure in presenting the Annual Report of Abans Electricals PLC, which includes the audited financial statements and all other relevant information for the year ended 31st March 2021, at the 39th Annual General Meeting.

This report was approved by the Board of Directors on 30th August 2021.

PRINCIPAL ACTIVITIES

Manufacturing, assembling and installation of selected consumer durable products, provision of repair and maintenance services for a wider range of household electric and electronic appliances and installation of roof top Solar PV Systems, are the principal activities of the Company. The Company operates under two separate divisions.

(a) Manufacturing Division

This division mainly engages in manufacturing, assembling and installing selected consumer durable products such as washing machines, cookers under "Abans" brand name, as well as in collaboration with internationally recognized brand names. It is also involved in the installation of roof top Solar PV Systems.

(b) Service Division

This division undertakes the installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group.

REVIEW OF BUSINESS OPERATIONS

A review of the financial and operational performance of the Company is available in the Management Discussion and Analysis section of this annual report, which forms an integral part of the Directors' Report. The impact of the COVID-19 pandemic and future business developments of the Company are described in the Chairperson's Statement of this annual report.

FINANCIAL STATEMENTS AND THE REPORT OF THE AUDITORS

The financial statements of the Company for the year ended 31st March 2021, have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and form an integral part of this annual report. The financial statements of the Company, duly certified by the two divisional Heads of Finance and approved by two Directors in compliance with the Companies Act, are given from pages 40 to 75 of this annual report. The Independent Auditors' Report on the Financial Statements of the Company is given on pages 37 to 39.

		2020/2021	2019/2020
Revenue	LKR '000	3,129,718	2,986,136
Profit/(loss) before tax	LKR '000	163,615	125,261
Tax saving/(expense)	LKR '000	1,673	(38,688)
Profit/(loss) after tax	LKR '000	165,288	86,573
Total comprehensive income net of tax	LKR '000	232,980	97,155
Profit available for appropriation	LKR '000	986,724	831,994
Ordinary dividend per share (paid)	LKR	1.50	3.00

ACCOUNTING POLICIES

All significant accounting policies adopted by the Company are mentioned in the notes to the financial statements. The Company prepared its financial statements in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and there were no material changes in the Accounting Policies adopted by the Company during the financial year.

REVENUE

The Company has reported a total revenue of LKR 3,130 Million in 2020/2021 (2019/2020 LKR 2,986 Million) and the segmental contribution of this revenue is provided in Note 5 to the financial statements.

PROFIT AND APPROPRIATION

The profit after tax of the Company was LKR 165.29 Million in 2020/2021 (2019/2020, LKR 86.57 Million). The total comprehensive income net of tax, was LKR 232.98 Million in 2020/2021 (2019/2020, LKR 97.16 Million).

DIVIDENDS

The Directors recommend a final dividend of LKR 3.00 per ordinary share for the financial year ended 31st March 2021. As required by Section 56(2) of the Companies Act No 7 of 2007, the Board of Directors have confirmed that the Company satisfies the solvency test in accordance with Section 57 of the Companies Act No 7 of 2007, and has obtained certificates from the auditors, prior to declaring the dividend.

CAPITAL EXPENDITURE

During the year, the Company incurred LKR 37,410,553 (2019/2020, LKR 110,439,634) on property, plant and equipment, including intangible assets. All the related information and movements have been disclosed in Note 12 to the financial statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

A computer software amounting to LKR 3,300,000/- added to intangible assets during the financial year (2019/2020 LKR 5,000,000/-). All the related information and movements in this regard have been disclosed in Note 15 to the financial statements.

VALUATION ON LAND, BUILDINGS AND INVESTMENT PROPERTIES

The carrying value of land and buildings as at balance sheet date of the financial year 2020/2021, was LKR 970.02-Million (As at 31 March 2020, LKR 917.3Million). These lands and buildings owned by the Company were revalued on 31 March 2021. Details of the Company's land, buildings and other properties stated at valuation, are given below.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Wellawatta	1	39.58	457,159,396	31.03.2021
Ratmalana	3	95.21	229,225,500	31.03.2021
Kandy	1	18.70	80,500,000	31.03.2021
Boralesgamuwa	-	83.10	71,650,000	31.03.2021
Negombo	1	31.10	46,488,000	31.03.2021
Galle	1	13.24	85,000,000	31.03.2021
Panadura	-	44.90	37,000,000	31.03.2021

The Company revalued all its investment properties at Panadura as at 31 March 2021, and the carrying value amounted to LKR 37.0 Million (2019/2020 LKR 36.0 Million).

INVESTMENTS

A description of the long-term investments held by the Company as at 31 March 2021, is disclosed in Notes 16 to the financial statements.

STATED CAPITAL

The Company's stated capital as at 31 March 2021 was LKR 186.7 Million (As at 31 March 2020 LKR 186.7 Million). The movement and composition of the stated capital are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements.

REVENUE RESERVES

The revenue reserves as at 31 March 2021 was LKR 986.72-Million (As at 31 March 2020, LKR 832.00 Million). The movement and composition of the revenue reserves are disclosed in the Statement of Changes in Equity.

SHARE INFORMATION

The composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading, are given in page no. 76 to 77 of the annual report. Market capitalisation, public holding percentage and number of public shareholders are given on the same, as additional disclosures.

MAJOR SHAREHOLDERS

The list of 20 largest shareholders of the Company, together with the share percentages held, is disclosed in page no. 77 of the annual report.

EQUITABLE TREATMENT OF SHAREHOLDERS

The Company has at all times ensured that all shareholders are treated equitably.

THE BOARD OF DIRECTORS

The Board of Directors of the Company as at 31 March 2021 and their brief profiles, are given in the Board of Directors section of this annual report.

RETIREMENT AND RE-ELECTION OF DIRECTORS

Retirement and re-election of Directors of the Company as at 31 March 2021, are given in the Notice of Meeting.

REVIEW OF THE PERFORMANCE OF THE BOARD

The Board itself, headed by the Chairperson, evaluates its performance, giving due regard to the external and internal environment to measure the degree of success, or the failure, in achieving goals and objectives assigned to Board members individually and collectively.

BOARD COMMITTEES

Information in relation to the Audit Committee, Remuneration Committee and Related Party Transactions Review Committee are disclosed in the Corporate Governance section and in each committee report of the annual report.

DIRECTORS' INTERESTS

Directors' interests in contracts of the Company are included in Note No. 31 to the financial statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct, or indirect, interest in any other contract, or proposed contract, of the Company.

DIRECTORATE AND SHAREHOLDINGS

The Board of Directors, consisting of Mrs. Aban Pestonjee (Chairperson), Mr. Behman Pestonjee, Mr. Athula Siriwardane, Mr. Kumar De Silva and Mr. Dinal Phillips held office throughout the year ended 31st March 2021. Mrs. Dayan-gani Priyanthi Pieris resigned w.e.f. 05th January 2021.

The Director retiring in rotation in terms of the Articles of Association is Mr. Behman Pestonjee. This Director being eligible, offer himself for re-election and the Directors are pleased to recommend his re-election.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

Shareholdings of the Directors and Chief Executive Officer (CEO) are stated below;

Name		Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	Director	293,438	293,438
Mr. Behman Pestonjee *	Director	2,620	182,127
Mr. Athula Siriwardane	Director	Nil	Nil
Mrs. Dayangani Priyanthi Pieris**	Director	Nil	Nil
Mr. Kumar De Silva	Director	Nil	Nil
Mr. D M R Phillips	Director	Nil	Nil
Mr. Jagath Jayasundara	CEO	Nil	Nil

* This includes 90 shares held by Mr. Behman Pestonjee through First Capital Markets Ltd

** Resigned w.e.f 05th January 2021

DIRECTORS' REMUNERATION

Details of the remuneration and other benefits received by the Directors are disclosed in Note 08 and 31 to the financial statements.

RELATED PARTY TRANSACTIONS

The Company is in compliance with Rule 09 of the Listing Rules of the Colombo Stock Exchange pertaining to related party transactions, during the financial year. The Company's transactions with Related Parties, given in Note 30 to the Financial Statements, have complied with Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practice on Related Party Transactions, under the Securities and Exchange Commission Directive, issued under Section 13(c) of the Securities and Exchange Commission Act.

EMPLOYMENT

The Company is an equal opportunity employer and does not discriminate on ethnic origin, religion, political opinion, gender, marital status, or physical disability. As at 31 March 2021, the total number of employees of the Company was 791 (As at 31 March 2020 - 825). The total cost of employee benefits for the year was LKR 489.49 Million (LKR 499.52 Million - 2019/2020). There were no material, employee related, or industrial relations related matters to be disclosed.

CORPORATE GOVERNANCE

The Board of Directors make all efforts to implement effective systems and structures of corporate governance best practices required to maintain an effective corporate governance framework. The Company has complied with Section 7.10 of the Listing Rules of the Colombo Stock Exchange on corporate governance and all relevant compliances are listed in the table in pages 18 to 21.

DONATIONS

Donations made during the year amounted to LKR 144,000/- (LKR 800,369/- 2019/2020)

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

COMPLIANCE WITH LAWS AND REGULATIONS

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

RISK MANAGEMENT AND INTERNAL CONTROL

The Board evaluates and takes all possible action to mitigate any foreseeable risks as a matter of priority. A brief discussion on Enterprise Risk Management is given on page No. 27 - 31 of this annual report.

The Directors are also responsible to establish a proper internal control system to prevent and detect fraud and other financial irregularities to safeguard assets, and to execute and record all transactions with proper authorisation.

EVENTS SUBSEQUENT TO THE BALANCE SHEET DATE

There are no circumstances since the balance sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note 33 to the financial statements.

MAJOR TRANSACTIONS

There were no major transactions of material effect, other than those which are disclosed in the annual report.

GOING CONCERN

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements

ANNUAL REPORT OF THE BOARD OF DIRECTORS

INDEPENDENT AUDITORS

In terms of Section 158 of the Companies Act No. 07 of 2007, the Directors have resolved to appoint M/S. SJMS Associates, Chartered Accountants, as the Auditors of the Company and a resolution proposing their reappointment, authorising the Directors to determine the remuneration of the Auditors, will be tabled at the Annual General Meeting. The Audit Committee reviews the appointment of the Auditor, its effectiveness, independence and relationship with the Company, including fees paid to the Auditor.

REPORTS TO THE PUBLIC

The Company publishes its quarterly financial statements and annual report, enabling stakeholders and the public to make a fair appraisal of the Company's performance.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held as a virtual meeting on 29th September 2021 at 4 : 00 p.m.

This Annual Report is signed for, and on behalf of the Board of Directors.

By Order of the Board,
Sgd

Varners International (Private) Limited
Secretaries
Colombo

THE STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of Directors in relation to the financial statements of the Company is set out in the following statement. The responsibility of Independent Auditors in relation to the financial statements prepared in accordance with the provision of Companies Act No. 07 of 2007 ("the Act") and SLFRS is set out in the Independent Auditors' report.

The statement of profit and loss and other comprehensive income presents a true and fair view of the profit and loss of the Company for the financial year and the statement of financial position, presents a true and fair view of the state of affairs of the Company as at the end of the financial year and complies with the requirements of The Companies' Act and SLFRS.

The Board of Directors is responsible under sections 150 (1), 151, 152 (1) & 153 of the Companies Act No. 7 of 2007 for preparing the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS), while selecting and applying appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis and material departures if any, have been disclosed and explained.

The Directors are also required to ensure that the Company has adequate resources to continue operations in the foreseeable future to justify applying the going concern basis in preparing these financial statements.

In addition, the Directors shall ensure that the said financial statements provide the required information and make relevant disclosures, to comply with the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.

The Directors are also responsible to establish a proper internal control system to prevent and detect fraud and other financial irregularities to safeguard assets, and to execute and record all transactions with proper authorisation.

Periodic audits were carried out by the internal auditors to ensure the established policies and procedures were consistently followed. The Audit Committee of the Company meets periodically with the Internal Auditors and the independent External Auditors to review the progress of the annual audit plan and to discuss key matters pertaining to the auditing, internal control, and financial reporting. The Board of Directors approves the Interim Financial Statements prior to release, after a review and recommendation done by the Audit Committee.

The Directors are required to provide the External Auditors with every opportunity to carry out reviews and tests, which are appropriate to perform their responsibilities and express their opinion regarding the financial statements of the Company.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of, employees of the Company and all other known statutory dues, as were due and payable by the Company as at the reporting date, have been paid, or where relevant, provided for.

By Order of the Board,
Sgd
Varners International (Private) Limited
Secretaries
Colombo

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company"), which comprise the statement of financial position as at 31st March 2021, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2021, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of Properties

As at the reporting date, Land and buildings included in Property, plant and equipment and Investment property amounted to Rs. 970,022,896/- and Rs. 37,000, 000/- respectively and are carried at their fair values. The fair values of such properties were determined by external valuer engaged by the Company.

Due to the financial statement impact resulted from the property valuations and the significance of the assumptions used in the valuation techniques, we have considered valuation of properties as a key audit matter.

Details of the techniques and key assumptions used in the valuation of such properties are disclosed in note 12 and 14 to the financial statements.

How our audit addressed the key audit matters

We designed our audit procedures focused on the valuations performed by external valuer engaged by the Company, and included the followings;

- We assessed the experience, competence and objectivity of the external valuer engaged by the Company.
- We read the external valuer's report and understood the techniques and key assumptions used by them in determining the valuation of each property.
- We engaged our internal valuation specialist to assess the reasonableness of the valuation techniques and the assumptions used.

We assessed the adequacy of the disclosures made to the financial statements relating to the valuation techniques and assumptions used by the external valuer.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance, conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such an internal control, as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuS, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud that is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubts on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ABANS ELECTRICALS PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

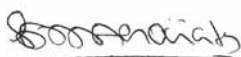
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2347.



SJMS ASSOCIATES
Chartered Accountants
30th August 2021
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Year Ended 31 March 2021

	Note	2020/2021 Rs.	2019/2020 Rs.
Revenue	5	3,129,717,820	2,986,136,172
Cost of sales		(2,656,362,906)	(2,544,787,864)
Gross profit		473,354,914	441,348,308
Other income	6	102,133,856	82,358,721
Change in fair value of investment property	14	1,000,000	6,800,000
Marketing and distribution expenses		(57,949,873)	(49,426,789)
Administrative expenses		(285,805,443)	(278,540,901)
Finance and other expenses	7	(69,118,331)	(77,278,033)
Profit before taxation	8	163,615,123	125,261,306
Tax expenses	9	1,672,635	(38,688,114)
Profit for the year		165,287,758	86,573,192
Other comprehensive income - net of tax			
<i>Items that will not be reclassified subsequently to comprehensive income:</i>			
Actuarial gain or loss on defined benefit obligations net of tax		(2,891,640)	10,582,141
Gain on revaluation of property, plant and equipment net of tax		70,584,152	-
Other comprehensive income for the year - net of tax		67,692,512	10,582,141
Total comprehensive income for the year		232,980,270	97,155,333
Earnings per share - basic/ diluted	10	32.34	16.94
Dividend per share (Paid)	11	1.50	3.00

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

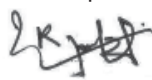
For the Year Ended 31 March 2021

	Note	31.03.2021 Rs.	31.03.2020 Rs.
Non Current Assets			
Property, plant and equipment	12	1,299,223,082	1,290,046,263
Capital work in progress	12.2	-	3,437,451
Right of use assets	13	60,340,204	64,086,655
Investment property	14	37,000,000	36,000,000
Intangible assets	15	5,735,855	4,135,289
Financial investments	16	347,663,251	322,099,767
Total Non Current Assets		1,749,962,392	1,719,805,425
Current Assets			
Inventories	17	1,263,195,393	747,888,705
Trade and other receivables	18	293,316,835	233,008,319
Advances, deposits and prepayments	19	48,865,954	34,639,359
Amounts due from related parties	20	371,366,710	424,299,287
Cash at bank and in hand	21	66,540,611	36,946,040
Total Current Assets		2,043,285,503	1,476,781,710
Total Assets		3,793,247,895	3,196,587,135
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Revaluation reserve	22.1	483,333,111	412,748,959
Retained earnings		986,724,250	831,993,972
Total Equity		1,656,789,361	1,431,474,931
Non Current Liabilities			
Borrowings	23.1	119,425,529	153,133,246
Deferred service income	28	16,136,008	16,713,409
Retirement benefit obligation	24	96,038,153	84,617,960
Deferred tax liability	25	122,472,129	184,123,488
Total Non Current Liabilities		354,071,819	438,588,103
Current Liabilities			
Trade and other payables	26	865,118,692	561,184,966
Income tax payable	27	38,238,528	16,029,026
Deferred service income	28	163,464,845	163,966,241
Amounts due to related parties	29	13,694,896	115,065,112
Borrowings	23.2	701,869,754	470,278,756
Total Current Liabilities		1,782,386,715	1,326,524,101
Total Liabilities		2,136,458,534	1,765,112,204
Total Equity and Liabilities		3,793,247,895	3,196,587,135

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



 Head of Finance
 (Manufacturing Department)



 Head of Finance
 (Service Department)

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board of Directors by the following on 30th August 2021.



 Director



 Director

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

For the Year Ended 31 March 2021

	Stated Capital Rs.	Capital Reserves Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Equity Rs.
Balance as at 1 April 2019	186,732,000	2,100,000	412,748,959	748,070,319	1,349,651,278
Net profit for the year	-	-	-	86,573,192	86,573,192
Transfer of reserves	-	(2,100,000)	-	2,100,000	-
Other comprehensive income for the year	-	-	-	10,582,141	10,582,141
Final dividend 2018/2019	-	-	-	(15,331,680)	(15,331,680)
Balance as at 31 March 2020	186,732,000	-	412,748,959	831,993,972	1,431,474,931
Net profit for the year	-	-	-	165,287,758	165,287,758
Other comprehensive income for the year	-	-	70,584,152	(2,891,640)	67,692,512
Final dividend 2019/2020	-	-	-	(7,665,840)	(7,665,840)
Balance as at 31 March 2021	186,732,000	-	483,333,111	986,724,250	1,656,789,361

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

CASH FLOW STATEMENT

For the Year Ended 31 March 2021

	Note	2020/2021 Rs.	2019/2020 Rs.
Net profit before taxation	8	163,615,123	125,261,306
Adjusted for:			
Profit from sale of property, plant and equipment	6	(22,109,409)	(10,384,492)
Depreciation and amortisation	8	78,029,878	79,582,031
Amortization of right of use assets	8	20,151,518	23,860,479
Employee benefit provision and related costs	24	19,079,355	19,247,667
Finance expenses	7	59,387,251	67,402,359
Interest income	6	(25,748,808)	(30,614,783)
Bad debts (reversal) / provision	18.1	10,234,467	(6,177,932)
Provision for obsolete stock	17.1	9,240,216	19,793,353
Write back of unclaimed dividends	6	-	(2,548,915)
Change in fair value of investment property	14	(1,000,000)	(6,800,000)
Interest cost on lease liability	23.4	9,731,080	9,875,674
Deferred income		(82,262,707)	(111,676,887)
Cash flow from operating activities before working capital changes		238,347,964	176,819,860
(Increase) / decrease in trade and other receivables		(70,542,983)	(68,482,567)
(Increase) / decrease in deposits, advances and prepayments		(14,226,595)	6,450,787
(Increase) / decrease in inventories		(524,546,905)	(237,755,275)
(Increase) / decrease in amounts due from/to related companies		(48,437,643)	29,079,200
Increase / (decrease) in trade and other payables		385,117,640	422,945,529
		(34,288,522)	329,057,534
Tax paid	27	(20,019,399)	(16,893,319)
Interest paid		(69,493,703)	(78,761,754)
Gratuity paid	24	(11,460,756)	(6,899,750)
Net cash flows (used in) / from operating activities		(135,262,380)	226,502,711
Investing activities			
Interest income	6	25,748,808	30,614,783
Purchase of property, plant and equipment & intangible asset	12 & 15	(37,410,553)	(110,439,634)
Proceeds from disposal of property, plant and equipment		27,894,432	11,647,685
Investment net in fixed deposits		(25,563,484)	(59,490,248)
Net cash flows (used in) / from investing activities		(9,330,797)	(127,667,414)
Financing activities			
Dividend paid		(7,665,840)	(15,331,680)
Receipt of loan term loans	23.3	-	30,000,000
Repayment of long term loans	23.3	(24,370,337)	(35,882,373)
Repayment of long term lease liabilities		(19,262,989)	(17,220,857)
Net movement in short term loans		249,714,788	(84,535,134)
Net cash flows (used in) / from financing activities		198,415,622	(122,970,044)
Net increase / (decrease) in cash and cash equivalents		53,822,445	(24,134,748)
Cash and cash equivalents at the beginning of the year		12,718,166	36,852,914
Cash and cash equivalents at the end of the year		66,540,611	12,718,166
Cash and cash equivalents at the beginning of the year			
Cash at bank and in hand		36,946,040	48,582,203
Bank overdrafts		(24,227,874)	(11,729,289)
		12,718,166	36,852,914
Cash and cash equivalents at the end of the year			
Cash at bank and in hand	21	66,540,611	36,946,040
Bank overdrafts	23.5	-	(24,227,874)
		66,540,611	12,718,166

The accounting policies and notes from 01 to 36 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

1. CORPORATE INFORMATION

1.1 General

Abans Electricals PLC is a public limited liability Company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the company is located at 498, Galle Road, Colombo 3 and the principal places of business are situated at 126, Airport Road, Ratmalna, and 506B Galle Road, Colombo 06.

1.2 Principal activities and nature of operations

The principal activities of the Company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances and installation of roof top Solar PV systems.

1.3 Parent entity

The Company does not have an identified Parent. However, Abans PLC has a significant influence over the company through the holding of 48% (2019- 42.95%) equity stake.

1.4 Date of authorization for issue

The financial statements of the Company for the year ended 31 March 2021 were authorized for issue under a resolution of the Board of Directors on 30th August 2021.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The financial statements of the Company (statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) is prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis, except the defined benefit obligation, which is recognized at its present value and Property Plant & Equipment (Land and building) which are carried at revalued amounts and Investment Property which are carried at fair value.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the Company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.3.1 Foreign currency

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated or Loss, in which case the increase is recognised in the Statement of Profit or Loss.

2.4 Amendments in accounting standards

Amendments to SLFRS 16

Impact of the initial application of Covid-19-Related Rent Concessions Amendment to SLFRS 16. In May 2020, the IASB issued Covid-19-Related Rent Concessions (Amendment to SLFRS 16) that provides practical relief to lessees in accounting for rent concessions occurring as a direct consequence of COVID-19, by introducing a practical expedient to SLFRS 16. The practical expedient permits a lessee to elect not to assess whether a COVID19-related rent concession is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the COVID-19-related rent concession the same way it would account for the change applying SLFRS 16 if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of COVID-19 and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- Any reduction in lease payments affects only payments originally due on or before 30 June 2021 (a rent concession meets this condition if it results in reduced lease payments on or before 30 June 2021 and increased lease payments that extend beyond 30 June 2021); and
- There is no substantive change to other terms and conditions of the lease.

2.5 Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the Company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The Company is subject to income taxes and other taxes including Value Added taxation, Excise Duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The Company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment, intangible assets

The Company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Fair value measurement of property, plant and equipment (Land and buildings) and investment properties

Property, plant and equipment and investment properties of the company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment properties are disclosed in note 14

d) Going concern

The Directors have made an assessment of the Company's ability to continue as a going concern by considering COVID-19 impact and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the financial statements continue to be prepared on the going concern basis.

e) Impairment losses on financial assets – Trade receivables

The Company determines the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

f) Impairment of non- financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

g) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

4.1 Revenue recognition

The Company recognizes revenue from contracts with customers when control of the goods or services is transferred to the customer at an amount that reflects the consideration that the Company is to be entitled in exchange for those goods or services. Determining the timing of the transfer of control of goods or services, at a point in time or over time, requires judgements taking into consideration the nature of goods or services that Company offers.

When contracts include multiple deliverables, where the contracts include multiple performance obligations, the transaction price will be allocated to each performance obligation based on the stand alone selling prices. Where these are not directly observable, they are estimated based on expected cost plus margin.

4.1.1 Sale of goods

Revenue from the sale of goods is recognised at the point in time when control of the goods is transferred to the customer, usually on delivery of the goods. Sales are measured at the fair value of the consideration received or receivable excluding amounts collected on behalf of third parties (e.g. Sales taxes).

4.1.2 Rendering of services

Revenue from rendering of services is recognised when the service is performed.

4.1.3 Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

4.1.4 Deferred income

The service income of the Company is recognized over the warranty period, since the Company is obliged to provide service for the agreed warranty period

4.1.5 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.6 Dividend income

Dividend income is recognized in the statement of comprehensive income on an accrual basis when the Company's right to receive the dividend is established.

4.1.7 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income.

4.3 Taxation

4.3.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the Statement of Financial Position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or substantially enacted at the reporting date.

4.4 Non-financial asset

4.4.1 Property, plant and equipment and investment properties

Recognition and measurement

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The Company applies the cost model to property plant and equipment except for free hold land and building.

Revaluation model

The Entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognized as an expense in the income statement. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rates of depreciations are based on the estimated useful lives.

Category of asset	Useful life	
	2021	2020
Building and installation	Over 40 years	Over 40 years
Plant and machinery	Over 10 years	Over 10 years
Furniture and fittings	Over 10 years	Over 10 years
Fixtures and fittings	Over 10 years	Over 10 years
Office equipment	Over 10 years	Over 10 years
Tools	Over 10 years	Over 10 years
On loan assets	Over 5 years	Over 5 years
Motor vehicles	Over 4 years	Over 4 years
Computer equipment	Over 4 years	Over 4 years

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognized on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in 'other operating income' in the statement of comprehensive income in the year the asset is de-recognised.

Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (LKAS 40) –Investment Properties. The cost of the investment property comprises of its purchase price and any directly attributable expenditure and changes to fair value recognized in profit or loss

4.4.2 Intangible assets – computer software Basis of recognition

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the Company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent expenditures

Subsequent expenditures on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation

Amortization is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortization methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An Intangible asset is de-recognized on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognized.

4.4.3 Impairment of non-financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

4.4.4 Leases

Lease liability

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee.

The Company as a lessee

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;

The lease liability is presented in note 23 to the financial statement.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

Right of use assets

The Company recognizes right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment. The Company did not have any short - term or low - value lease assets

The right-of-use assets are presented as a separate line in the statement of financial position.

The Company applies LKAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

4.5 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials:	At actual cost on FIFO (First-In First-Out) basis
Work-in –progress:	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods:	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods:	At actual cost on first-in first-out basis
Consumables and spares:	At actual cost on first-in first-out basis
Goods in transit:	At actual cost

4.6 Financial instruments – recognition and measurement

4.6.1 Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. However, when a financial asset measured at fair value through Profit or Loss is recognised, the transaction costs are expensed immediately. Subsequent remeasurement of financial assets is determined by their categorisation, which is revisited at each reporting date. The settlement date is used for both initial recognition and subsequent derecognition of financial assets, as these transactions are generally under contracts that terms which require delivery within the time frame established by regulation or convention in the market place (regular-way purchase or sale)

The classification of financial assets is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. On initial recognition, a financial asset is classified and as measured either:

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

- At amortized cost;
- At Fair Value through Other Comprehensive Income (FVOCI); or
- At Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI, as at FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through Other Comprehensive Income (FVTOCI)
- Financial assets at fair value through profit or loss (unless measured at amortised cost or FVTOCI)
- Financial assets at fair value through profit or loss

However, the financial assets of the company are limited to the categories of financial assets at amortised cost (debt instrument) and financial assets Fair Value through Other Comprehensive Income (FVOCI)

Companies financial asset includes financial assets carried at amortized cost which is in investment in fixed deposit (Note 16)

a) Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss

Companies financial assets classified fair value through OCI which is in other investments Note 16.

b) Financial assets at amortised cost (debt instruments)

The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows and

- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortised cost includes cash and short-term deposit, trade and other receivables and other financial assets

4.6.2 Impairment of financial assets

The Company recognizes expected credit losses for trade receivables and investments at amortised cost investments. The ECL allowance is based on the credit losses expected to arise over the life of the asset. For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

4.6.3 Financial liabilities at amortised cost

Financial liabilities are initially recognized at the fair value of consideration received, less directly attributable transaction costs.

Subsequent to the initial measurement, financial liabilities are recognized at amortized cost. The difference between the initial carrying amount of the financial liabilities and their redemption value is recognised in the Statement of Profit or Loss and Other Comprehensive Income over the contractual terms using the effective interest rate method. This category includes trade and other payables, as well as other financial liabilities.

Financial liabilities at amortized cost are further classified as current and non-current depending on whether these will fall due within 12 months after the reporting date or beyond.

Financial liabilities are derecognized (in full or partly) when the obligation specified in the contract is either discharged, cancelled, expired or replaced by a new liability with substantially modified terms.

a) Loans and borrowings (Financial liabilities at amortised cost)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss. This category generally applies to interest-bearing loans and borrowings. For more information, refer to Note 23

4.7 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.8 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.9 Employee benefits

4.9.1 Defined benefit plan – gratuity

The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The Company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.9.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' provident fund

The Company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' trust fund

The Company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.10 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.11 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.12 Segmental information

For management purposes, the Company has organized two operating segments based on Operating Divisions, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a Company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.13 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1- Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3- Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	2020/2021 Rs.	2019/2020 Rs.
5. Revenue		
Manufacturing department	2,465,505,541	2,126,883,618
Service department	664,212,279	859,252,554
	3,129,717,820	2,986,136,172
6. Other income		
Scrap and sundry parts sales	7,395,205	5,535,910
Transport and warehouse income	16,068,854	17,088,718
Interest income	25,748,808	30,614,783
Insurance claim	384,566	758,790
Interest on employee loan	1,066,439	1,655,528
Profit from sale of property, plant & equipment	22,109,409	10,384,492
Exchange gain	6,179,906	-
Rent income	3,667,333	4,884,000
Solar power generation income	10,486,564	8,786,534
Mobile phone reimbursement income	557,077	-
Registration fees income	46,000	16,000
Discount	21,777	85,051
Write back of unclaimed dividends	-	2,548,915
Income from shared services	5,879,756	-
Covid-19 rent concession	2,522,162	-
	102,133,856	82,358,721
7. Finance and other expenses		
Exchange losses	2,089,197	3,132,973
Term loan interest	13,773,126	16,969,203
Bank charges and commission	3,015,363	1,787,679
Overdraft interest	1,357,463	1,241,402
Interest on import loan	34,606,249	40,584,375
Stamp duty	171,275	278,838
Interest on employee loan	1,144,635	1,345,653
Interest on vehicle loan	-	180,082
Lease interest	12,961,023	11,757,828
	69,118,331	77,278,033
8. Profit before taxation		
Profit from operations is stated after charging all expenses including the followings :		
Directors, emoluments	3,590,303	3,433,218
Depreciation and amortisation	78,029,878	79,582,031
Depreciation of right of use assets	20,151,518	23,860,479
Staff costs (excluding defined contribution plan and defined benefit plan)	410,684,537	418,676,371
Defined contribution plan cost	59,724,342	61,591,160
Defined benefit plan cost	19,079,355	19,247,667
Donations	144,000	800,369
Auditor's remuneration	1,373,125	1,078,802
Legal fees	1,488,181	391,455

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	Note	2020/2021 Rs.	2019/2020 Rs.
9. Tax expenses			
For the year ended 31st March			
Income tax expense current year	9.1	37,239,260	40,091,809
(Over) / under provision for the last year		4,989,642	-
		42,228,902	40,091,809
Deferred tax expense			
Origination / (reversal) of deferred tax assets		(38,048,787)	(7,420,519)
Origination / (reversal) of deferred tax liabilities		(5,852,750)	6,016,823
		(43,901,537)	(1,403,695)
Tax expense		(1,672,635)	38,688,114
9.1 Reconciliation of accounting profit and taxable income			
Profit for the year		165,287,758	86,573,192
Current tax expense	27	42,228,902	40,091,809
Origination / (reversal) of deferred tax assets		(38,048,787)	(7,420,519)
Origination / (reversal) of deferred tax liabilities		(5,852,750)	6,016,823
Profit before tax		163,615,123	125,261,306
Tax rates applicable		24% and 18%	28%, 24% and 18%
Income tax for first 9 months @ 28%		-	26,304,874
Income tax for second 3 months @ 24% - Services		-	4,364,773
Income tax for second 3 months @ 18% - Manufacturing		-	2,363,179
Income tax @ 24% - Services		18,901,850	-
Income tax @ 18% - Manufacturing		15,274,335	-
Total income tax for the year		34,176,185	33,032,826
Less: Exempted interest income		6,179,714	8,259,172
Tax effect on disallowable expenses		34,194,851	36,750,359
Tax effect on allowable expenses		(27,283,277)	(30,450,488)
Tax effect on income from other sources and exempt income		(42,946,722)	(66,587,675)
Tax effect on tax profit on disposal of capital assets		3,412,707	2,865,314
Tax effect on deferred service income received during the year		29,505,802	56,222,300
Assessable income		37,239,260	40,091,809
Less: Deductions		-	-
Total current tax		37,239,260	40,091,809

10. Earnings per share - basic / diluted

Basic earnings per share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	2020/2021 Rs.	2019/2020 Rs.
Amount used as the numerator		
Profit attributable to ordinary shareholders	165,287,758	86,573,192
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - basic/diluted	32.34	16.94
11. Dividend per share		
Dividend per share (paid)	1.50	3.00

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

Property, plant and equipment		12.1	1,299,223,082	1,290,046,263			
Net book value of freehold assets			1,299,223,082	1,290,046,263			
12.1 Freehold assets							
	As at 01.04.2019 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfer of accumulated depreciation Rs.	Transfer from CWIP Rs.	Revaluation Rs.	As at 31.03.2020 Rs.
Cost / revaluation							
Land & land development	638,768,000	-	-	-	-	-	638,768,000
Buildings	290,647,920	-	-	-	-	-	290,647,920
Plant and machinery	444,597,728	76,924,644	-	-	-	-	521,522,372
Furniture and fittings	18,999,430	586,582	-	-	-	-	19,586,012
Fixtures and fittings	20,999,593	456,382	(22,100)	-	47,785,474	-	69,219,349
Office equipment	20,520,896	6,397,443	(124,000)	-	-	-	26,794,339
Tools	55,033,152	3,192,543	(24,947)	-	-	-	58,200,748
Computer equipment	71,024,485	12,498,173	-	-	-	-	83,522,658
Motor vehicles	141,654,895	1,665,897	(14,298,502)	-	-	-	129,022,290
On loan asset	1,957,577	-	-	-	-	-	1,957,577
	1,704,203,676	101,721,664	(14,469,549)	-	47,785,474	-	1,839,241,265
	As at 01.04.2020 Rs.	Additions during the year Rs.	Disposals during the year Rs.	Transfer of accumulated depreciation Rs.	Transfer from CWIP Rs.	Revaluation Rs.	As at 31.03.2021 Rs.
Cost / revaluation							
Land & land development	638,768,000	-	-	-	-	61,409,500	700,177,500
Buildings	290,647,920	5,927,973	-	(19,065,280)	-	(7,665,216)	269,845,396
Plant and machinery	521,522,372	9,838,343	(3,215,043)	-	-	-	528,145,672
Furniture and fittings	19,586,012	705,002	-	-	-	-	20,291,014
Fixtures and fittings	69,219,349	606,338	-	-	3,437,451	-	73,263,138
Office equipment	26,794,339	401,133	(25,192)	-	-	-	27,170,280
Tools	58,200,748	3,466,366	(235,032)	-	-	-	61,432,082
Computer equipment	83,522,658	1,095,898	(759,668)	-	-	-	83,858,888
Motor vehicles	129,022,290	12,069,500	(36,665,837)	-	-	-	104,425,953
On loan asset	1,957,577	-	(29,900)	-	-	-	1,927,677
	1,839,241,265	34,110,553	(40,930,672)	(19,065,280)	3,437,451	53,744,284	1,870,537,600

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

12.1 Freehold assets

	As at 01.04.2019 Rs.	Depreciation during the year Rs.	Disposals during the year Rs.	Transfer of accumulated depreciation Rs.	Transfer from CWIP Rs.	On revaluation Rs.	As at 31.03.2020 Rs.
Depreciation							
Buildings	4,832,397	7,266,198	-	-	-	-	12,098,595
Plant and machinery	228,406,867	36,555,927	-	-	-	-	264,962,794
Furniture and fittings	12,403,820	1,207,099	-	-	-	-	13,610,919
Fixtures and fittings	9,471,811	5,482,944	(22,100)	-	-	-	14,932,655
Office equipment	16,182,214	1,619,470	(107,319)	-	-	-	17,694,365
Tools	30,049,130	5,221,620	(10,588)	-	-	-	35,260,162
Computer equipment	61,955,043	6,372,635	-	-	-	-	68,327,678
Motor vehicles	119,108,686	14,528,024	(13,066,349)	-	-	-	120,570,361
On loan asset	1,344,885	392,588	-	-	-	-	1,737,473
	483,754,855	78,646,503	(13,206,356)	-	-	-	549,195,002
Depreciation							
Buildings	12,098,595	6,966,685	-	(19,065,280)	-	-	-
Plant and machinery	264,962,794	40,928,571	(1,298)	-	-	-	305,890,067
Furniture and fittings	13,610,919	1,233,107	-	-	-	-	14,844,026
Fixtures and fittings	14,932,655	6,972,847	-	-	-	-	21,905,502
Office equipment	17,694,365	1,600,534	(2,520)	-	-	-	19,292,379
Tools	35,260,162	5,115,242	(164,194)	-	-	-	40,211,210
Computer equipment	68,327,678	6,018,920	(759,464)	-	-	-	73,587,134
Motor vehicles	120,570,361	7,274,435	(34,188,272)	-	-	-	93,656,524
On loan asset	1,737,473	220,105	(29,900)	-	-	-	1,927,678
	549,195,002	76,330,444	(35,145,648)	(19,065,280)	-	-	571,314,518
Net book value as at 31.03.2020							1,290,046,263
Net book value as at 31.03.2021							1,299,223,082

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

12. Property, plant and equipment

Revaluation land and buildings

All Freehold land and buildings of the entity was valued by Mr. Upali Silva, a professional valuer except Rathmalana property which was valued by Mr. K. D. Sirisena, a professional valuer on 31 March 2021 and the excess of Rs.53,744,284/- over the net book value as at 31 March 2021 has been credited to the revaluation reserve.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March	Land extent	Building area	No of buildings	Date of valuation	Fair value Rs.
Property, plant and equipment					
Property at Kandy	Perches 18.7	Sq.ft. 5,081	1	31.03.2021	80,500,000
Land at Borlasgamuwa	Perches 83.1	-	-	31.03.2021	71,650,000
Property at Galle	Perches 13.24	Sq.ft. 12,365	1	31.03.2021	85,000,000
Property at Negambo	Perches 31.1	Sq.ft. 1,500	1	31.03.2021	46,488,000
Property at Colombo 06	Perches 39.58	Sq.ft. 31,713	1	31.03.2021	457,159,396
Property at Rathmalana 1	Perches 83.41	Sq. ft. 29,198	2	31.03.2021	209,584,500
Property at Rathmalana 2	Perches 11.80	Sq. ft. 3,654	1	31.03.2021	19,641,000
					970,022,896

Fair value hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and buildings	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
2021	-	-	970,022,896	970,022,896

The fair value measurement has been categorised as Level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs valued at
Property at Kandy	Open market	Price per perch and sq.ft	3,400,000/- per perch and 3,330 per sq.ft
Land at Borlasgamuwa	Open market	Price per perch	862,214/- per perch
Property at Galle	Open market	Price per perch and sq.ft	3,250,000/- per perch and 3,394 per sq.ft
Property at Negambo	Open market	Price per perch and sq.ft	1,400,000/- per perch and 1,965 per sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,225,000/- per perch and 2,902 per sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,200,000/- per perch and 3,750 per sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,200,000/- per perch and 1500 per sq.ft

Increase/decrease in price per perch/sq.ft have a positive correlation with the fair value of the land and buildings.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

The carrying amount of revalued land and buildings if they were carried at cost less depreciation and impairment, would be as follows:

	31.03.2021 Rs.	31.03.2020 Rs.
Land and land development		
Cost	177,269,665	177,269,665
Accumulated depreciation and impairment	-	-
Carrying value	177,269,665	177,269,665
Buildings		
Cost	243,976,686	238,048,713
Accumulated depreciation and impairment	(74,335,710)	(64,761,587)
Carrying value	169,640,977	173,287,126

12.2 Capital work in progress

	As at 01.04.2020 Rs.	Additions during the year Rs.	Transfer to property, plant & equipment Rs.	As at 31.03.2021 Rs.
Solar power installation project.	3,437,451	-	(3,437,451)	-
	3,437,451	-	(3,437,451)	-

13 Right of use assets - Buildings

	31.03.2021 Rs.	31.03.2020 Rs.
Cost		
Balance at the beginning of the year	87,947,134	-
Additions during the year	16,405,067	87,947,134
Disposal during the year	-	-
Balance at the end of year	104,352,201	87,947,134
Accumulated amortisation		
Balance at the beginning of the year	23,860,479	-
Amortisation for the year	20,151,518	23,860,479
Balance at the end of the year	44,011,997	23,860,479
Net book value of the right of use assets	60,340,204	64,086,655

The incremental borrowing rate applied to measure lease liabilities are ranging from 6.8%-13.23%.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	31.03.2021 Rs.	31.03.2020 Rs.
14. Investment property -Market value		
Balance at the beginning of the year	36,000,000	29,200,000
Acquisitions	-	-
Net gain / (loss) from fair value adjustment	1,000,000	6,800,000
Balance at the end of the year	37,000,000	36,000,000

Amount recognized in profit or loss for investment properties ,

Rental income from operating leases	-	-
Direct operating expense from property that generated rental income	-	-
Direct operating expense from property that did not generated rental income	324,000	5,000
Fair value gain recognized in other income	1,000,000	6,800,000

Fair value investment property

Investment property at Panadura was valued by Mr. Upali Silva, a professional valuer on 31 March 2021 and the excess of Rs.1,000,000 (31st March 2020 : Rs. 6,800,000) over the net book value as at 31 March 2021 has been credited to statement of profit or loss.

As at 31st March	Land extent	Date of valuation	Fair value Rs.
Investment property			
Land at Panadura	Perches 44.9	31.03.2021	37,000,000

The fair value measurement has been categorized as Level 3 fair value based on open market valuation technique.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs valued at
Land at Panadura	Open market	Price per perch	824,053/- per perch

Increase/decrease in price per perch have a positive correlation with the fair value of the land

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	Note	31.03.2021 Rs.	31.03.2020 Rs.
15. Intangible assets - Computer software			
Cost			
Balance at the beginning of the year		19,457,433	14,457,433
Additions during the year		3,300,000	5,000,000
Disposals during the year		-	-
Balance at the end of the year		22,757,433	19,457,433
Amortization			
Balance at the beginning of the year		15,322,144	14,386,616
Additions during the year		1,699,434	935,528
Disposals during the year		-	-
Balance at the end of the year		17,021,578	15,322,144
Net book value		5,735,855	4,135,289
16. Financial investments			
Investment in fixed deposits at amortised cost		336,209,251	310,645,767
Other investments		11,454,000	11,454,000
		347,663,251	322,099,767
17. Inventories			
Raw material		1,119,364,833	676,891,023
Work-in-progress		162,084,933	2,710,095
Finished goods - Manufactured		14,560,793	7,697,247
Goods in transit		16,476,618	100,641,908
		1,312,487,177	787,940,273
Less: Provision for damaged and obsolete stock	17.1	(49,291,784)	(40,051,568)
		1,263,195,393	747,888,705

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	Note	31.03.2021 Rs.	31.03.2020 Rs.
17.1 Movement for the provision for damaged and obsolete stocks ;			
Balance at the beginning of the year		40,051,568	20,258,215
Further provisions made		15,606,939	35,167,945
Provisions written back		(6,366,723)	(15,374,592)
Balance at the end of the year		49,291,784	40,051,568
18. Trade and other receivables			
Financial assets			
Trade debtors		304,059,626	228,152,445
Less: Allowance for impairment of debtors	18.1	(26,813,886)	(17,113,280)
		277,245,740	211,039,165
Loans to employees		332,771	19,623,784
		277,578,511	230,662,949
Non financial assets			
Other receivables		15,738,324	2,345,370
		293,316,835	233,008,319
18.1 Movement of the allowance for impairment of debtors ;			
Balance at the beginning of the year		17,113,280	30,012,302
(Reversal of Impairment)/Impairment loss recognized during the year		10,234,467	(6,177,932)
Written off by utilising provisions		(533,861)	(6,721,090)
Balance at the end of the year		26,813,886	17,113,280

As at 31 March, the ageing analysis of trade receivables are, as follows ;

	Total Rs.	0 - 30 days Rs.	30 - 60 days Rs.	60 - 90 days Rs.	90-120 Rs.	Over 120 Rs.
2021	304,059,626	114,532,212	39,406,604	30,936,221	64,051,899	55,132,689
2020	228,152,445	76,845,941	63,706,159	33,180,469	14,373,532	40,046,344

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	31.03.2021 Rs.	31.03.2020 Rs.
19. Advances, deposits and prepayments		
Advances	26,588,404	11,747,295
Deposits	13,150,274	10,346,853
Prepayments	9,127,276	12,545,211
	48,865,954	34,639,359
20. Amounts due from related parties		
Abans PLC	364,205,893	410,331,431
Abans Restaurant (Pvt) Ltd	33,429	25,270
Abans Jung poong (Pvt) Ltd	591,501	591,501
Abans Auto (Pvt) Ltd	57,140	97,451
Abans Engineering (Pvt) Ltd	6,396,209	9,214,995
Abans Finance PLC	82,538	50,101
Abans Office Automation (Pvt) Ltd	-	7,213
ABS Courier (Pvt) Ltd	-	349,667
Crown City Developers (Pvt) Ltd	-	3,631,254
Abans Graphics (Pvt) Ltd	-	404
	371,366,710	424,299,287

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

	31.03.2021 Rs.	31.03.2020 Rs.
21. Cash at bank and in hand		
Cash in hand	1,451,736	2,435,197
Cash at bank	65,088,875	34,510,843
	66,540,611	36,946,040
	Number of shares	Value of shares Rs.
22. Stated capital		
At 31 March 2021	5,110,560	186,732,000
At 31 March 2020	5,110,560	186,732,000
	31.03.2021 Rs.	31.03.2020 Rs.
22.1 Revaluation reserve		
Balance at the beginning of the year	412,748,959	412,748,959
Revaluation gain	53,744,284	-
Deferred tax on revaluation surplus	16,839,868	-
Balance at the end of the year	483,333,111	412,748,959

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	Note	31.03.2021 Rs.	31.03.2020 Rs.
23. Borrowings			
23.1 Long term borrowings			
Term loan	23.3	78,993,837	104,035,086
SLFRS 16 Lease liability	23.4	40,431,692	49,098,160
		119,425,529	153,133,246
23.2 Short term borrowings			
SLFRS 16 Lease liability	23.4	27,436,662	21,628,118
Term loan	23.3	37,331,452	36,660,540
Import loans		559,679,625	384,964,837
Short term loans		75,000,000	-
Provision for interest		2,422,015	2,797,387
Bank overdraft	23.5	-	24,227,874
		701,869,754	470,278,756
23.3 Term loans from banks			
Balance at the beginning of the year		140,695,626	146,577,999
Loan granted during the year		-	30,000,000
Payment made during the year		(24,370,337)	(35,882,373)
Balance at the end of the year		116,325,289	140,695,626
Amount re-payable within 1 year		37,331,452	36,660,540
Amount re-payable after 1 year		78,993,837	104,035,086
23.4 Lease liability			
Balance at the beginning of the year		70,726,278	-
Addition during the year		16,405,066	87,947,134
Interest cost		9,731,080	9,875,674
Payment made during the year		(28,994,070)	(27,096,531)
Balance at the end of the year		67,868,354	70,726,278
Amount re-payable within 1 year		27,436,662	21,628,118
Amount re-payable after 1 year		40,431,692	49,098,160
23.5 Bank overdrafts			
Sampath Bank PLC		-	9,125,723
Commercial Bank of Ceylon PLC		-	15,102,151
		-	24,227,874

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

23.6 Terms and conditions of borrowing facilities

Facility		Security
Import and hypothecation loans		
People's Bank	-	LKR 250.0 Mn mortgage over trade receivables and undertaking of Abans PLC to settle invoices within 60 days
Hatton National Bank PLC	-	Primary floating mortgage bond for LKR 400.0 Mn over stocks and book debts
Sampath Bank PLC	-	Floating hypothecation bond for LKR 362.0 Mn over stocks and book debts
Commercial Bank of Ceylon PLC	-	Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Term loan facilities		
Commercial Bank of Ceylon PLC	-	Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
Short term loan facilities		
DFCC Bank PLC	-	LKR 350.0Mn mortgage over stocks and book debts
Overdraft facilities		
Hatton National Bank PLC	-	Primary floating mortgage bond for LKR 60.0 Mn over land and buildings situated at No. 126, Airport Road, Ratmalana
Sampath Bank PLC	-	Floating hypothecation bond for LKR 362.0 Mn over stocks and book debts, LKR 20.0 Mn over the Company's trading stock
Bank of Ceylon	-	LKR 10.0 Mn over the Company's trading stock
People's Bank	-	LKR 30.0Mn mortgage over stocks
Union Bank of Colombo PLC	-	LKR 30.0 Mn over the Company's trading stock
Commercial Bank of Ceylon PLC	-	Floating primary mortgage for LKR 550.0 Mn over stocks and book debts
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts
Lease facility		
Commercial Bank of Ceylon PLC	-	Mortgage over leased assets
Letter of guarantee facilities		
Sampath Bank PLC	-	Master counter indemnity of the Company for LKR 5.0 Mn
DFCC Bank PLC	-	LKR 350.0 Mn mortgage over stocks and book debts

Unutilised bank facilities are amounting to Rs. 170.0 Mn overdraft facilities and Rs. 1,190.3 Mn Import short term loan facilities as at 31st March 21

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

	31.03.2021 Rs.	31.03.2020 Rs.
24. Retirement benefit obligation		
Balance at the beginning of the year	84,617,960	85,055,977
Interest cost	8,292,559	9,356,153
Current service cost	10,786,796	9,891,514
Actuarial (gain) / loss	3,801,594	(12,785,934)
	107,498,909	91,517,710
Less : Payments made during the year	(11,460,756)	(6,899,750)
Balance at the end of the year	96,038,153	84,617,960

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

	31.03.2021	31.03.2020
Discount rate	6.90%	9.80%
Expected rate of salary increase	5.00%	7.00%
Retirement age	55 & 60	55 & 60

	2020 / 2021 Rs.	2019 / 2020 Rs.
The amounts recognised in the comprehensive income are as follows:		
Current service cost	10,786,796	9,891,514
Interest cost	8,292,559	9,356,153
The amount recognised in the other comprehensive income is as follows:		
Actuarial (gain) / loss	3,801,594	(12,785,934)

Sensitivity analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

	31.03.2021 Rs.	31.03.2020 Rs.
+1% point increase on discount rate	92,218,326	80,709,700
-1% point decrease on discount rate	100,202,764	88,934,560
+1% point increase on salary increment rate	100,615,237	88,786,697
-1% point decrease on salary increment rate	91,771,122	80,783,983

Maturity analysis of the payments

The following payments are expected on employee benefit plan - gratuity in future years.

	31.03.2021 Rs.	31.03.2020 Rs.
Within the next 12 months	17,981,363	14,195,248
Between 1 and 2 years	27,983,489	21,939,681
Between 2 and 5 years	24,892,104	20,439,972
Between 5 and 10 years	17,983,683	17,343,718
Beyond 10 years	7,197,514	10,699,341
Total expected payments	96,038,153	84,617,960
Weighted average duration (years) of defined benefit obligation		
Manufacturing	6.06	7.41
Service	3.69	4.33

For the Year Ended 31 March 2021

66 Abans Electricals PLC | Annual Report 2020 / 2021

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

	Note	31.03.2021 Rs.	31.03.2020 Rs.
26. Trade and other payables			
Financial liability			
Trade creditors		126,625,074	84,197,524
DA bills payable		418,760,463	276,309,301
Accrued charges		62,243,076	56,728,425
Prepaid employee benefit		622,080	2,574,723
Other payables		86,418,122	108,879,395
Provision		16,855,996	4,651,201
Import control		47,163,526	11,330,588
Advances from customers		95,823,655	13,553,301
		854,511,992	558,224,458
Non financial liability			
Excise Duty payable		10,419,255	3,525,247
Nations Building Tax		-	(18,832)
Value Added Tax		187,445	(545,907)
		10,606,700	2,960,508
		865,118,692	561,184,966
27. Income tax payable/ (receivable)			
Balance at the beginning of the year		16,029,026	(7,169,465)
Income tax for the year	9.1	42,228,902	40,091,809
		58,257,927	32,922,344
Withholding tax paid		-	(1,421,978)
Income tax paid		(20,019,399)	-
ESC paid		-	(15,471,341)
Balance at the end of the year		38,238,528	16,029,026
28. Deferred service income			
Deferred service income consists of the income received for under - warranty charges for selected refrigerators, washing machines and air conditioners			
		31.03.2021 Rs.	31.03.2020 Rs.
29. Amounts due to related parties			
Abans Environmental (Pvt) Ltd		476,842	429,653
Abans Marketing (Pvt) Ltd		6,620,787	4,284,644
Abans Retail (Pvt) Ltd		-	98,197,509
AB Securitas (Pvt) Ltd		3,420,249	4,492,709
Crown City Developers (Pvt) Ltd		274,472	-
Sirius Technologies (Pvt) Ltd		399,499	998,748
Abans Logistics (Pvt) Ltd		2,020,328	6,124,774
ABS Gardner Dixon Hall International (Pvt) Ltd		448,921	305,770
Add Outdoor Advertising (Pvt) Ltd		-	231,305
ABS Courier (Pvt) Ltd		33,798	-
		13,694,896	115,065,112

Due to related parties balances are payable on demand and carry no interest, also does not hold any collateral.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

30. Related party disclosures

30.1 Details of transactions carried out with related companies.

Name of the related party	Relationship	Nature of transaction	2020/2021 received/ (paid) Rs.	2019/2020 received/ (paid) Rs.
Abans PLC	Significant shareholder	Sales of goods/ services Reimbursement of warehouse expenses Wharf expenses Other purchases	1,898,656,519 1,725,000 (13,104,251) (9,424,840)	2,271,008,262 1,800,000 (11,960,744) (14,765,078)
Abans Retail (Pvt) Ltd	Affiliate	Sales of goods / services	-	162,700,851
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(2,625,000)	(3,000,000)
Crown City Developers (Pvt) Ltd.	Affiliate	Logistic expense Sales of goods/ services	(93,160) 59,398,133	(9,607,580) 54,062,312
Abans Engineering (Pvt) Ltd	Affiliate	Purchases Sales of goods/ services Reimbursement of water, electricity and rent	(2,965,861) 6,089,910 -	(8,545,722) 4,243,071 6,755,366
ABS Courier (Pvt) Ltd	Affiliate	Rent income Courier charges	448,000 (1,313,065)	1,500,000 (433,044)
Abans Finance PLC	Affiliate	Interest income Invest in fixed deposits Sales of goods/ services	10,617,279 (15,000,000) 114,539	11,430,585 - -
AB Securitas (Pvt) Ltd	Affiliate	Security charges	(17,429,038)	(18,111,732)
Abans Environmental (Pvt) Ltd	Affiliate	Cleaning charges	(4,368,145)	(2,892,067)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Sales of goods/ services	(1,222,378) 103,188	(2,367,313) 362,952
Abans Logistic (Pvt) Ltd	Affiliate	Freight expense	(37,917,639)	(10,879,178)
Sirius Technologies (Pvt) Ltd	Affiliate	Network maintain expenses	(4,438,878)	(1,815,625)
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate	Printing & advertisement, building maintenance expenses	(5,857,064)	(569,501)
Abans Graphics (Pvt) Ltd	Affiliate	Printing materials expenses	-	(660,798)
Add Outdoor (Pvt) Ltd.	Affiliate	Building maintenance	-	(1,328,401)

The balance outstanding as at the reporting date disclosed under Note 20 and 29. The above transactions have been carried out in normal commercial terms.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

30.2 Recurrent transaction with related parties

Name of the related party	Relationship	Nature of transaction	Aggregate value of the related party transactions entered into during the financial year Rs.	Aggregate value of the related party transaction as a % of net revenue / income	Terms and condition of the related party transactions
Abans PLC	Significant shareholder	Sales of goods and services	1,898,656,519	61%	Normal commercial terms

Other than above transaction, there were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of gross revenue/income.

30.3 Non-recurrent transaction with related parties

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31st March 2021

	2020/2021 Rs.	2019/2020 Rs.
31. Transactions with key management personal (KMPs)		
According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the Board of Directors and Chief Executive Officer of the Company.		
Post employee benefits	1,200,000	800,000
Short term employee benefits	10,470,000	9,893,280
	11,670,000	10,693,280

32. Commitments

There are no material commitments outstanding as at the reporting date.

33. Events after the reporting period

No circumstances have arisen since the statement of financial position date which would require adjustments to, or disclosure in the financial statements.

34. Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than guarantees issued by banks amounting to Rs.40,414,076/- and the pending litigation as mention below.

Nature of the liability

Case no.

Case by H. D. D Balasooriya against Abans Electricals (PLC) -
As at 31 March 2021, the case will be called on 16.09.2021 for argument.

HC/ALT/ 16/2018

For the Year Ended 31st March 2021

The Company comprises the following two business segments.

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

36. Financial risk management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. The management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for long term borrowings and there by interest rate risk can be reduced. Short term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The DA (Documents against Acceptance) bills shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk), credit risk and liquidity risk.

1. Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Foreign currency risk

The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company has exposure to foreign currency risk where it has foreign currency transactions which are affected by foreign exchange movements.

The Company imports considerable amount of its total product offerings which are subject to the risk of foreign exchange rate increase that would adversely affect cost of purchases.

The pandemic impacted on foreign exchange rates of the country due to loss of foreign currency inflows resulted by the disruption to key sectors that contribute to foreign currency inflows this resulted in an increase of USD exchange rate against the Sri Lankan Rupee to Rs. 202.04 as at 31 March 2021

The Sri Lankan Rupee (LKR) witnessed a sharp depreciation against the US Dollar in March 2021. The Company take measures to manage risk of Rupee depreciation during the post lockdown period through converting foreign currency supplier payments in to local currency bank loans.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

36. Financial risk management

a) Foreign currency risk

As explained above, the Company exposed to foreign currency risk mainly from DA bills.

Sensitivity analysis of the exchange rate risk on DA bills

	Foreign exchange value	Currency	Exchange rate Rs.	Rupee value as at 31st March Rs.	Exchange rate increase in Rs.1/- Rs.	Exchange rate increase in Rs.2/- Rs.	Exchange rate increase in Rs.3/- Rs.	Exchange rate increase in Rs.4/- Rs.
31 March 2021	1,967,091	Dollars	202.04	397,431,017	399,398,108	401,365,199	403,332,289	405,299,380
31 March 2020	1,179,236	Dollars	192.45	226,947,542	228,126,779	229,306,015	230,485,251	231,664,487
	Potential loss compared to 31 March 2021				1,967,091	3,934,182	5,901,272	7,868,363
	% of loss				0.49%	0.99%	1.48%	1.98%
	Potential loss compared to 31 March 2020				1,179,236	2,358,472	3,537,709	4,716,945
	% of loss				0.52%	1.04%	1.56%	2.08%
31 March 2021	123,817	Euros	237.40	29,394,468	29,518,285	29,642,103	29,765,920	29,889,738
31 March 2020	231,380	Euros	213.56	49,413,890	49,645,270	49,876,650	50,108,030	50,339,409
	Loss compared to 31st March 2021				123,817	247,635	371,452	495,270
	% of loss				0.42%	0.84%	1.26%	1.68%
	Loss compared to 31st March 2020				231,380	462,759	694,139	925,519
	% of loss				0.47%	0.94%	1.40%	1.87%
31 March 2021	780,120	CNY	30.97	24,161,175	24,941,295	25,721,415	26,501,535	27,281,655
31 March 2020	-	CNY	-	-	-	-	-	-
	Loss compared to 31 March 2021				780,120	1,560,240	2,340,360	3,120,480
	% of loss				3.23%	6.46%	9.69%	12.92%
	Loss compared to 31 March 2020				-	-	-	-
	% of loss				-	-	-	-

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

36. Financial risk management

b) Interest rate risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

During the financial year consecutive reductions in policy rates and monetary easing policies by Central Bank of Sri Lanka to encourage banks and finance companies to reduce lending rates.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movements in basis points	Effect on profit and equity	
	2020/2021 Rs.	2019/2020 Rs.
+ 50	(2,087,876)	(1,377,290)
- 50	2,087,876	1,377,290

c) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

The Company is not exposed to equity risk as they do not have equity investments.

2. Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from Company's Cash at bank, trade receivables and amount due from related parties, financial investments at amortised cost.

A review of age analysis of trade receivables and follow-up meetings are carried out by the finance division with respective business unit managers on weekly basis.

The Company has taken necessary steps to monitor creditors more closely and frequently to ensure that the payables are settled on time.

However, manufacturing division produces as per their manufacturing plan sent by Abans PLC and most of the sales are to them, therefore 54.62 % and 1.40% of their dues as of 31 March 2021 are towards the Abans PLC and to their close related parties respectively. It comprises 56.02% of total receivables as of 31st March 2021. Cash at bank and fixed deposit balances are maintained with reputed financial institutions.

Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Gross exposure		Net exposure	
	As at 31.03.2021 Rs.	As at 31.03.2020 Rs.	As at 31.03.2021 Rs.	As at 31.03.2020 Rs.
Cash at bank	65,088,875	34,510,843	65,088,875	34,510,843
Amounts due from related parties	371,366,710	424,299,287	371,366,710	424,299,287
Trade and other receivables	304,392,397	247,776,229	304,392,397	247,776,229
Financial instruments at amortized cost	336,209,251	310,645,767	336,209,251	310,645,767

Financial asset and financial liabilities carrying value approximate to its fair value.

NOTES TO THE FINANCIAL STATEMENTS

For the Year Ended 31 March 2021

36. Financial risk management

3. Liquidity risk

This is the risk that the Company will encounter in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. In the management of liquidity risk, the Company monitors and maintains a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and to mitigate the effects of fluctuations in cash flows. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, finance leases and bank loans. Access to sources of funding is sufficiently available.

In order to minimize the impact on the liquidity position, the company has taken several initiatives which include applying for refinancing and rescheduling arrangements of banking facilities and curtailing of non-essential capital and revenue expenditures and deferment of some capital expenditures and recruitments. The company also taking measures to expedite the debtor recovery process and proactively engaging with suppliers to renegotiate of payment terms to manage the liquidity position.

As disclosed in Note 3 (d) the Board of Directors is satisfied that the Company have adequate liquidity and business plans to continue to operate the business and to mitigate the increased liquidity risks arising from the business and movement restrictions made due to COVID-19 pandemic, for the next 12 months from the date of this report.

Following table represents undiscounted contractual maturity analysis;

	Less than 3 months Rs.	3-6 months Rs.	6-12 months Rs.	Total Rs.
Current liabilities				
31 March 2021				
Current liabilities, other than lease liability except deferred income	912,701,436	492,328,344	186,455,428	1,591,485,208
Lease liability - SLFRS 16	6,875,806	7,268,345	13,292,511	27,436,662
	919,577,242	499,596,689	199,747,939	1,618,921,870
31 March 2020				
Current liabilities, other than lease liability except deferred income	795,162,483	197,003,919	148,763,340	1,140,929,742
Lease liability - SLFRS 16	5,156,568	5,318,641	11,152,909	21,628,118
	800,319,051	202,322,560	159,916,249	1,162,557,860
		1-3 Years Rs.	More than 3 years Rs.	Total Rs.
Non current liabilities				
31 March 2021				
Borrowings		78,993,837	-	78,993,837
Lease liability -SLFRS 16		37,003,167	3,428,525	40,431,692
		115,997,004	3,428,525	119,425,529
31 March 2020				
Borrowings		100,090,443	3,944,643	104,035,086
Lease liability -SLFRS 16		49,098,160	-	49,098,160
		149,188,603	3,944,643	153,133,246

SHAREHOLDER & INVESTOR INFORMATION

01. STATED CAPITAL

As at 31st March	2021		2020	
	No. of Shares	Value Rs.	No. of Shares	Value Rs.
Ordinary voting shares	5,110,560	186,732,000	5,110,560	186,732,000

* Voting rights - One vote per ordinary share

02. STOCK EXCHANGE LISTING

This issued shares of the Company are listed with the Colombo Stock Exchange.

03. MARKET VALUE PER SHARE

The transacted values of an ordinary share of Abans Electricals PLC are as follows;

As at 31st March	2021 Rs.	2020 Rs.
Highest price	214.75	108.80
Lowest price	55.00	45.00
As at balance sheet date	159.50	60.30

04. MARKET CAPITALIZATION

As at 31st March	2021 Rs.	2020 Rs.
Market capitalization value	815,134,320	308,166,768
Float adjusted market capitalization	314,478,821	145,269,814

05. PUBLIC HOLDING

As at 31st March	2021	2020
Total number of shares Issued	5,110,560	5,110,560
No of shares held by the public	1,971,815	2,409,210
Percentage of shares held by the public	38.58%	47.14%
No of public shareholders	1,392	1,569

* The Company has complied with the minimum public holding requirement under Option 05.

06. DISTRIBUTION OF SHAREHOLDING

As at 31st March	2021			2020		
Shareholding	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
1-1,000	1,213	160,402	3.14	1,323	205,520	4.02
1,001-10,000	153	472,474	9.25	211	611,250	11.96
10,001-100,000	24	672,600	13.16	33	771,224	15.09
100,001-1,000,000	6	1,352,017	26.45	6	1,327,387	25.97
Over 1,000,000	1	2,453,067	48.00	1	2,195,179	42.96
Grand Total	1,397	5,110,560	100.00	1,574	5,110,560	100.00

SHAREHOLDER & INVESTOR INFORMATION

07. COMPOSITION OF SHAREHOLDING

As at 31st March	2021			2020		
Category	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
Individual	1,338	2,444,103	47.82	1,488	2,485,599	48.64
Institutional	59	2,666,457	52.18	86	2,624,961	51.36
Grand Total	1,397	5,110,560	100.00	1,574	5,110,560	100.00

08. ANALYSIS OF SHAREHOLDERS

As at 31st March	2021			2020		
Category	No of Shareholders	No of Shares	%	No of Shareholders	No of Shares	%
Resident	1,383	5,019,296	98.21	1,557	4,947,169	96.80
Non-Resident	14	91,264	1.79	17	163,391	3.20
Grand Total	1,397	5,110,560	100.00	1,574	5,110,560	100.00

09. TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

As at 31st March	2021		2020	
Name	No. of Shares	% of Issued Capital	No. of Shares	% of Issued Capital
ABANS PLC	2,453,067	48.00	2,195,179	42.95
MRS S. DUBASH	334,628	6.55	295,820	5.79
MRS A. PESTONJEE	293,438	5.74	293,438	5.74
MR R. PESTONJEE	226,872	4.44	226,872	4.44
MR P.N. PESTONJEE	199,952	3.91	199,952	3.91
MR B. PESTONJEE	182,127	3.56	-	0.00
MR A.J.M. JINADASA	115,000	2.25	115,000	2.25
HATTON NATIONAL BANK PLC/ KANDIAH KANAPATHIPILLAI SHUJEEVAN	94,821	1.86	-	0.00
DR K. POOLOGASUNDRAM	72,076	1.41	72,076	1.41
MR S. ABISHEK	51,436	1.01	51,436	1.01
MR G.C. GOONETILLEKE	46,475	0.91	46,475	0.91
MRS B.S. RASANAYAGAM	43,680	0.85	43,680	0.85
MR A. SITHAMPALAM	32,052	0.63	-	0.00
TRANZ DOMINION,L.L.C.	31,611	0.62	31,611	0.62
MR T. LIYANAGE	23,868	0.47	23,868	0.47
MR J.D. JORGE CALDERON	23,344	0.46	23,344	0.46
MR C.W. GUNASEKARA	23,000	0.45	-	0.00
MR G.C.W. DE SILVA	21,960	0.43	21,960	0.43
MR A. MALHOTRA	21,000	0.41	-	0.00
MR R.E. RAMBUKWELLE	21,000	0.41	21,500	0.42
Others	799,153	15.64	1,448,349	28.34
Total	5,110,560	100.00	5,110,560	100.00

VALUE ADDED STATEMENT

	2021			2020		
	Manufacturing	Service	Total	Manufacturing	Service	Total
ECONOMIC VALUE GENERATED						
Revenue	2,465,505,541	664,212,279	3,129,717,820	2,126,883,618	859,252,554	2,986,136,172
Finance income	634,832	25,113,976	25,748,808	657,931	29,956,852	30,614,783
Profit on sale of assets	15,184,071	6,925,338	22,109,409	2,166,905	8,217,587	10,384,492
Other income	40,561,975	13,713,664	54,275,639	32,450,099	8,909,347	41,359,446
Valuation gain from investment property	-	1,000,000	1,000,000	-	6,800,000	6,800,000
	2,521,886,419	710,965,257	3,232,851,676	2,162,158,553	913,136,340	3,075,294,893
ECONOMIC VALUE DISTRIBUTED						
Operating cost	1,929,255,091	325,747,508	2,255,002,599	1,645,649,045	473,489,011	2,119,138,056
Employee wages and benefits	281,607,273	327,701,887	609,309,160	290,960,996	363,555,071	654,516,067
Payments to providers of funds - equity	3,832,920	3,832,920	7,665,840	7,665,840	7,665,840	15,331,680
Payments to providers of funds - debt	60,280,429	2,417,432	62,697,861	69,356,419	1,376,471	70,732,890
Payments to government	32,179,729	10,049,173	42,228,902	25,797,503	14,294,306	40,091,809
Community investment	44,000	100,000	144,000	579,867	220,502	800,369
	2,307,199,442	669,848,920	2,977,048,362	2,040,009,670	860,601,201	2,900,610,871
ECONOMIC VALUE RETAINED						
Depreciation & amortization	78,344,470	19,836,926	98,181,396	77,387,772	26,054,738	103,442,510
Profits after dividend	136,342,507	21,279,411	157,621,918	44,761,111	26,480,401	71,241,512
	214,686,977	41,116,337	255,803,314	122,148,883	52,535,139	174,684,022

FIVE YEAR SUMMARY

31 March		2021	2020	2019	2018	2017
OPERATING RESULTS IN LKR '000						
Revenue		3,129,718	2,986,136	2,870,558	3,492,566	4,028,610
Gross profit		473,355	441,348	397,554	392,845	434,017
EBIT		232,733	202,539	144,017	154,356	159,937
Finance cost		69,118	77,278	67,470	62,417	79,298
Profit before tax		163,615	125,261	76,546	91,939	80,639
Tax expense/(reversal)		(1,673)	38,688	2,202	48,238	25,239
Profit after tax		165,288	86,573	74,344	43,701	55,400
FINANCIAL POSITION IN LKR '000						
Property plant & equipment (PPE)		1,299,223	1,290,046	1,220,449	966,037	608,224
Non current assets other than PPE		450,739	429,759	339,385	202,279	147,586
Current assets		2,043,286	1,476,782	1,234,689	1,424,676	1,724,440
Current liabilities		1,782,387	1,326,524	1,062,520	1,161,260	1,507,926
Non current liabilities		354,072	438,588	382,352	252,467	132,065
Shareholders' fund		1,656,789	1,431,475	1,349,651	1,179,265	840,259
Total debt		821,295	623,412	632,088	413,040	723,228
CASH FLOWS IN LKR '000						
Net cash flows from / (used in) operating activities		(135,262)	226,503	55,249	100,200	(37,201)
Net cash flows from / (used in) investing activities		(9,331)	(127,667)	(273,419)	(16,624)	(109,015)
Net cash flows from / (used in) financing activities		198,416	(122,970)	195,772	(29,051)	118,875
Net increase / (decrease) in cash and cash equivalents		53,822	(24,135)	(22,398)	55,525	(27,341)
KEY INDICATORS						
Basic earnings per share	LKR	32.34	16.94	14.55	8.55	10.84
Dividend per share (paid)	LKR	1.50	3.00	2.00	3.00	3.00
Interest coverage	No. Times	3.37	2.62	2.13	2.47	2.02
Current ratio	No. Times	1.15	1.11	1.16	1.23	1.14
Gearing (D/D+E)	%	33.14	30.34	31.90	25.94	46.26
Net asset per share	LKR	324.19	280.10	264.09	230.75	164.42
Market price per share	LKR	159.50	60.30	52.00	84.30	88.20
Return on equity	%	9.98	6.05	5.51	3.71	5.56

NOTICE OF MEETING

ABANS ELECTRICALS PLC ANNUAL GENERAL MEETING

Dear Shareholders,

Taking into consideration the current restrictions prevailing in the Country due to the COVID-19 pandemic, the Board of Directors of Abans Electricals PLC has decided to hold its 39th Annual General Meeting (AGM) by way of a Virtual Meeting on 29th September 2021, at 4.00p.m. following the issuance of guidelines by the Colombo Stock Exchange (CSE) and legal advice received thereon for hosting of Virtual AGMs for the following purposes:

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2021 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs 3/- per share for the year ended 31st March 2021 as recommended by the Directors.
3. To re-elect Mr. Behman Pestonjee, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Behman Pestonjee, as a Director of the Company.
4. To re-elect Mrs. Aban Pestonjee, Chairperson of the Company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No. 07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act. The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
5. To re-appoint M/S SJMS Associates, Auditors and to authorize the Directors to determine their remuneration.

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
SECRETARIES

30th August 2021

Varners International (Private) Limited
Level 14,
West Tower, World Trade Center,
Echelon Square,
Colombo 01.

NOTICE OF MEETING

METHOD OF HOLDING THE AGM/ELECTRONIC PLATFORM

Only the key officials who are essential for the administration of the formalities of the meeting will be physically present in the venue and all others including shareholders will participate via an online meeting platform. These measures are being adopted to observe "social distancing" requirements to mitigate the dangers of spreading the virus.

REGISTRATION PROCEDURE

Those Shareholders and Proxy holders, who wish to participate via the Online Meeting Platform, should notify the Company of such intention by completing the attached **Registration of Shareholder Details Form**.

Registration of Shareholder Details Form will also be made available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>). Arrangements will be made for shareholders who wish to participate in the AGM via an online meeting platform, with login information being forwarded to shareholders in advance of the meeting.

In order to enable such facilities, shareholders who wish to participate in the AGM via the online meeting platform are requested to forward us their details, by duly completing the annexure 1, (**Registration of Shareholder Details Form**) by way emailing it to the Company emailing address **aelagm2021@abansgroup.com** or send the duly completed form, by post to reach the Company, **48 hours prior to the time fixed for the meeting** to the below address;

Abans Electricals PLC, No.498, Galle Road, Colombo 03

APPOINTMENT OF PROXY HOLDERS

Due to the COVID - 19 pandemic and prevailing health and safety guidelines issued by the Government of Sri Lanka, the Shareholders are encouraged to vote by Proxy, by way appointing a member of the Board of Directors to vote on their behalf and to include their voting preferences on the resolutions that are to be taken up at the meeting, which are given in the **Form of Proxy**.

The Form of Proxy is attached herewith and is also available on the website of the Colombo Stock Exchange (<https://www.cse.lk/home/market>).

The Shareholders who wish to appoint a Proxy should duly complete the **Form of Proxy** and include the details of such Proxy holder in the **Registration of Shareholders Details Form** as per the instructions given therein.

The duly completed **Form of Proxy** should be forwarded to the Company by way emailing it to the Company emailing address **aelagm2021@abansgroup.com** or send the duly completed form, by post to reach the Company **Abans Electricals PLC, No.498, Galle Road, Colombo 03, 48 hours prior to the time fixed for the meeting**.

QUERIES OF SHAREHOLDERS

Shareholders who are unable to participate at the virtual meeting via the designated online meeting platform are invited to forward their suggestions, questions & concerns (if any) relating to items on the agenda, to the following email address **aelagm2021@abansgroup.com** to reach the Company **48 hours prior to the time fixed for the meeting**, the Board will ensure that they are discussed and addressed at the AGM, if relevant.

FORM OF PROXY

I/We*

of

being a Shareholder/Shareholders* of Abans Electricals PLC hereby appoint

.....of

..... bearing NIC No./ Passport Noor failing him/her*

Mrs. Aban Pestonjeeof Colombo or failing her

Behman Pestonjeeof Colombo or failing him

Athula Siriwardane of Colombo or failing him

Kumar De Silvaof Colombo or failing him

Dinal Mario Rex Phillipsof Colombo or failing him

as my/our* proxy to attend at the 39th Annual General Meeting of the Company to be held on 29th September 2021 at 04.00 p.m. by means of audio or audio and visual technology, and any adjournment thereof and at every poll which may be taken in consequence thereof.

	For	Against
1 To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2021 and Report of the Auditors thereon.		
2 To declare first and final dividend of Rs 3/- per share for the year ended 31st March 2021 as recommended by the Directors.		
3 To re-elect Mr. Behman Pestonjee, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company.		
4 To re-elect Mrs. Aban Pestonjee, Chairperson of the Company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No. 07 of 2007.		
5 To re-appoint M/S SJMS Associates, Auditors and to authorize the Directors to determine their remuneration.		

Signed thisday of 2021.

.....

Signature /s

Note:

- *Please delete the inappropriate words.
- A shareholder entitled to attend and vote at a General Meeting of the Company, is entitled to appoint a proxy to attend and vote instead of him / her and the proxy need not to be a shareholder of the Company. A proxy so appointed shall have the right to vote on a show of hands or on a poll and to speak at the General Meeting of the shareholders.
- A shareholder is not entitled to appoint more than one proxy to attend on the same occasion.
- Please refer the instructions to complete the form on the next page.

INSTRUCTION ON PROXY

INSTRUCTIONS FOR COMPLETION OF THE PROXY FORM

1. To be valid, the completed Form of Proxy should be deposited at the Registered Office of the Company at No.498, Galle Road, Colombo 03 or electronic document with e-signature or scan of the signed document emailed to **aelagm2021@abansgroup.com**, with the subject title Abans Electricals PLC AGM not less than **48 hours before the time appointed for the holding of the Meeting**.
2. In perfecting the form, please ensure that all details are legible. If you wish to appoint a person other than the Chairman as your Proxy, please fill in your full name and address, the name, address and email address of the Proxy holder and sign in the space provided and fill in the date of signature.
3. The instrument appointing a Proxy shall, in the case of an individual, be signed by the appointer or by his Attorney and in the case of a Corporation must be executed under its Common Seal or in such other manner prescribed by its Articles of Association or other constitutional documents.
4. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy, if it has not already been registered with the Company.
5. In the case of joint holders, only one need to be signed. The votes of the senior holder who tenders a vote will alone be counted.
6. In the case of non-resident Shareholders, the stamping will be attended to upon return of the completed Form of Proxy to Sri Lanka.

GUIDELINES AND REGISTRATION PROCESS

ABANS ELECTRICALS PLC

GUIDELINES AND REGISTRATION PROCESS FOR THE ANNUAL GENERAL MEETING (AGM) VIA ONLINE MEETING PLATFORM

Shareholders / Proxy holders who wish to participate in the Annual General Meeting of ABANS ELECTRICALS PLC to be held via an Online Meeting Platform (Virtual AGM), could do so by using a smart phone or a desktop computer.

If a Shareholder/Proxy holder intends to join the Virtual AGM via a smart device, it is necessary for him/her to download the “**Zoom Mobile App**” onto his/her smart device.

Similarly, if a Shareholder/Proxy holder wishes to attend the Virtual AGM via a Laptop / Desktop computer, the link can be opened by downloading the “**Zoom Desktop App**” to the respective Laptop / Desktop computer (compatible web browser: **Google Chrome**).

1. Shareholders who wish to participate in the Virtual AGM of ABANS ELECTRICALS PLC either by themselves or through their Proxies are requested to forward their details to the Company Secretaries as per the attached **REGISTRATION FORM**.
2. The duly completed and signed **REGISTRATION FORM** should be delivered to the Company Secretaries, Varners International (Private) Limited, Level 14, West Tower, World Trade Center, Echelon Square, Colombo 01/ E-mail : asanka@varners.lk to be received by the Secretaries by 4.00 p.m. on 27th September 2021. If participation in the meeting through a Proxy, the duly completed and signed **FORM OF PROXY** should accompany the **REGISTRATION FORM**.

Note:

If a Proxy is appointed, the information set out in the **REGISTRATION FORM** pertaining to the Proxy holder should tally with the information indicated in the duly completed **FORM OF PROXY** submitted by the Shareholder.

3. The Company will verify all registration requests and identification details received as aforesaid, against the details of Shareholders set out in the Shareholders' Register and accept the registrations for the Virtual AGM if it is satisfied with the request and supporting documents (if any).

Shareholders whose registration requests are accepted will receive an email confirmation from the Company acknowledging the acceptance of their request.

4. The Shareholders whose registration requests have been accepted will receive a further email from the Company 24 hours prior to the commencement of the AGM. This email will provide a web link for online registration referred to as “**Virtual AGM Registration**”. If the Shareholder has appointed a valid Proxy this email will be forwarded to the relevant Proxy holder.
5.
 - (i) The Shareholders / Proxy holders are requested to use the web link, which will be forwarded by the Company as referred to in 4 above and click on the “**Virtual AGM Registration**” in order to complete online registration for the Virtual AGM.
 - (ii) On clicking the link “**Virtual AGM Registration**”, Shareholders/Proxy holders will be redirected to an interface where they will be requested to enter their **first name, last name, email address, re- enter email address and NIC No. / Passport No. / Co. Reg. No** (In entering these details the participants are required to ensure that correct details as included in the **REGISTRATION FORM** referred to in 2 above are entered in the said online registration process, since any mismatch will be considered as an unsuccessful login)
 - (iii) After successful completion of entering of the details as referred to in 5 (ii) above, the participants are requested to click on “**REGISTER**” which will be prompted on their screens enabling them to receive the meeting link.
6. The Shareholders who successfully complete their online registration as set out in 5 above, will receive the login link for participation in the meeting referred to as ‘**Click here to Join the Virtual Meeting**’ and credentials.
7. In order to join the Virtual AGM, participants are required to click on ‘**Click here to Join the Virtual Meeting**’. In some instances the system call for the credentials and if that is required, please enter the credentials to gain access to the Virtual AGM.
8. On completion of this process, you will be directed to the Virtual AGM Zoom Platform, where you can participate in the Virtual AGM.

GUIDELINES AND REGISTRATION PROCESS

It is recommended that the Shareholders / Proxy holders complete the process outlined in 5, 6, 7 and 8 above and join the AGM at least ten (10) minutes before the start of the AGM. The Online Meeting Platform will be active thirty (30) minutes before the time appointed for the commencement of the meeting.

9. Shareholders / Proxy holders may use the **Q & A** tab or the **Hand Raise** (👏) icon appearing on the screen respectively, to submit their questions or concerns in typed format or verbally. The system will allow a pop-up message to **unmute the microphones and to allow video options**.
10. After completion of the process outlined in 7 above in respect of all eligible Shareholders and Proxy holders, the Company will forward a separate email to the Shareholders / Proxy holders or representatives (as applicable) who are entitled to vote, providing a separate link to vote on all resolutions included in the Notice of Annual General Meeting dated 29th September 2021.
11. Shareholders / Proxy holders who intend participating in the meeting are requested to open the said link and be prepared to cast their vote when each resolution is taken up for voting by the Chairman. Participants are advised to **"REFRESH"** the voting page and cast the vote as per their discretion in the given space and click **"SUBMIT"** enabling the Company to receive the responses.
12. When declaring the voting on a resolution, Chairman will take into account the voting of the Shareholders/ Proxy holders participating virtually
13. **60 seconds** will be allocated for Shareholders/ Proxy holders to cast their vote in respect of each resolution.
14. The results will be processed and announced by the Chairman **30 seconds** after the end of the time slot allocated for voting.
15. In a situation where a Poll is demanded and Shareholders are required to vote on the Poll, a mechanism similar to that referred to for voting, will be applicable. This will be moderated by the Chairman of the meeting.

It is advised to check the online AGM access at least 3 hours prior and also ensure that your devices have an audible sound system so that you could participate in the AGM comfortably.

GUIDELINES AND REGISTRATION PROCESS

Annexure 01

ONLINE MEETING REGISTRATION FORM

ABANS ELECTRICALS PLC ANNUAL GENERAL MEETING 2021 REGISTRATION OF SHAREHOLDER DETAILS FOR ONLINE VIRTUAL MEETING

To: (Company Name & Address)

1. Full Name of the Shareholder:
2. Shareholder's Address:
3. Shareholder's NIC No. / Passport No. / Co. Reg No.:
4. Shareholder's Contact No.: (Residence) (Mobile).....
5. Name of the Proxy Holder:
6. Proxy holder's NIC No. / Passport No. / Co. Reg. No.:
7. Proxy holder's Contact No.: (Residence) (Mobile).....
8. Shareholder's/ Proxy holder's E-mail:
9. Participation at the AGM via an online platform: YES /NO
10. Name of Joint holder/s (If any): (i)
(ii).....
11. National Identity Card number/s of Joint holder/s: (i)..... ii).....

.....
Shareholder's signature

Date :

.....
1st Joint holder's signature

Date :

.....
2nd Joint holder's signature

Date :

GUIDELINES AND REGISTRATION PROCESS

Note:

- 1) Shareholders are requested to provide their email address in the space provided in order to forward the Virtual AGM Zoom link & necessary instruction, if they wish to attend the AGM through the online platform.
- 2) In case of a Company / Corporation, the Shareholder Details Form must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.
- 3) In case of a Power of Attorney, the Shareholder Details Form signed by the Power of Attorney must be deposited at the Registered Office of the Company for registration.

All documents relating to the AGM must be forwarded to the Company by post Abans Electricals PLC, No.498, Galle Road, Colombo 03 or by way emailing it to the Company emailing address **aelagm2021@abansgroup.com** 48 hours prior to the time fixed for the meeting. The Notice of meeting, Form of Proxy, and other related documents will also made available on the website of the Colombo Stock Exchange (**<https://www.cse.lk/home/market>**). The Company will endeavor to dispatch the aforementioned documents by ordinary post to the shareholders in due course provided the postal services are duly operational.

DOCUMENTS ATTACHED

The following documents are attached to this circular to shareholders:

- Notice of Meeting
- Form of Proxy
- Circular to Shareholders giving Guidelines & Registration Process for the Annual General Meeting.
- Online Meeting Registration Form

By Order of the Board of ABANS ELECTRICALS PLC
Varners International (Private) Limited
SECRETARIES

30th August 2021

Varners International (Private) Limited
Level 14,
West Tower, World Trade Center,
Echelon Square,
Colombo 01.

FORM OF ATTENDANCE

I / We* hereby record my / our* presence at the THIRTY NINTH ANNUAL GENERAL MEETING of Abans Electricals PLC on 29th September 2021 at 4.00 p.m. via online meeting platform.

(1) Full Name of Shareholder				
(2) Share Certificate Number				
(3) National Identity Card Number				
(4) Address				
(5) Name of Proxy holder (if applicable)				
(6) National Identity Card Number of Proxy holder				
(7) Address of Proxy holder				
(8) Number of Shares held	CDS		Non CDS	

*Please delete what is inapplicable

.....
Signature of Shareholder

.....
Date

- Note
- (i) Shareholders are requested to bring this Form of Attendance when attending the meeting and hand it over at the entrance to the meeting hall.
 - (ii) Shareholders appointing proxies (other than Directors of the Company) to attend the Meeting are requested to indicate the National Identity Card number of the Proxy holder on the Form of Proxy and request the Proxy holder to bring along his / her National Identity Card.

CORPORATE INFORMATION

NAME OF THE COMPANY	Abans Electricals PLC
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No. PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Mr. B. Pestonjee Mr. Athula Siriwardane Mr. Kumar De Silva Mr. D. M. R. Phillips Mrs. D. P. Pieris (Resigned w.e.f. 05th January 2021)
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank of Colombo PLC Commercial Bank of Ceylon PLC DFCC Bank PLC Nations Trust Bank PLC
LAWYERS	Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
AUDITORS	SJMS Associates, Chartered Accountants, No.2, Castle Lane, Colombo 04.
SECRETARIES	Varners International (Pvt) Ltd, Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
TELEPHONE NO	011-5776430
FAX NO	011-2635157

www.abansgroup.com